

strategy
execution
sustainability
leadership
strength
discipline
flexibility

Global profile
local character

GRUPO BIMBO

2009 Annual Report

Grupo Bimbo 2009 Annual Report

Central America

Region America Central

Headquartered in San José, Costa Rica.
Countries included: Costa Rica, El Salvador, Guatemala, Honduras, Nicaragua and Panama.
Principal brands are Bimbo, Breddy, Europa, Ideal, Lido, La Mejor, Marinela, Milpa Real, Monarca, Pix and Ricolino.

Latin America

Organizacion Latinoamerica

Headquartered in Buenos Aires, Argentina.
Countries included: Argentina, Brazil, Chile, Colombia, Paraguay, Peru, Uruguay and Venezuela.
Principal brands are Agua de Piedra, Ana Maria, Bimbo, Cena, Firenze, Fuchs, Holsum, Ideal, Lagos del Sur, Lalo, Laura, Los Sorchantes, Maestro Cubano, Mama Ines, Marinela, Nutrella, Oroweat, Plucky, Plus Vita, Pullman, Pyc, Ricard, Ricolino and Trigoro.

China

Organizacion Asia

Headquartered in Beijing, China with the Bimbo and Million Land brands.
One of the leading manufacturers of bakery products and prepared foods, with distribution in cities north of Beijing as well.
Main products are biscuits; packaged bread in such varieties as white, whole wheat, milk and corn; pastries; and prepared foods like sandwiches and hamburgers.



98
plants

Grupo Bimbo today

Mexico

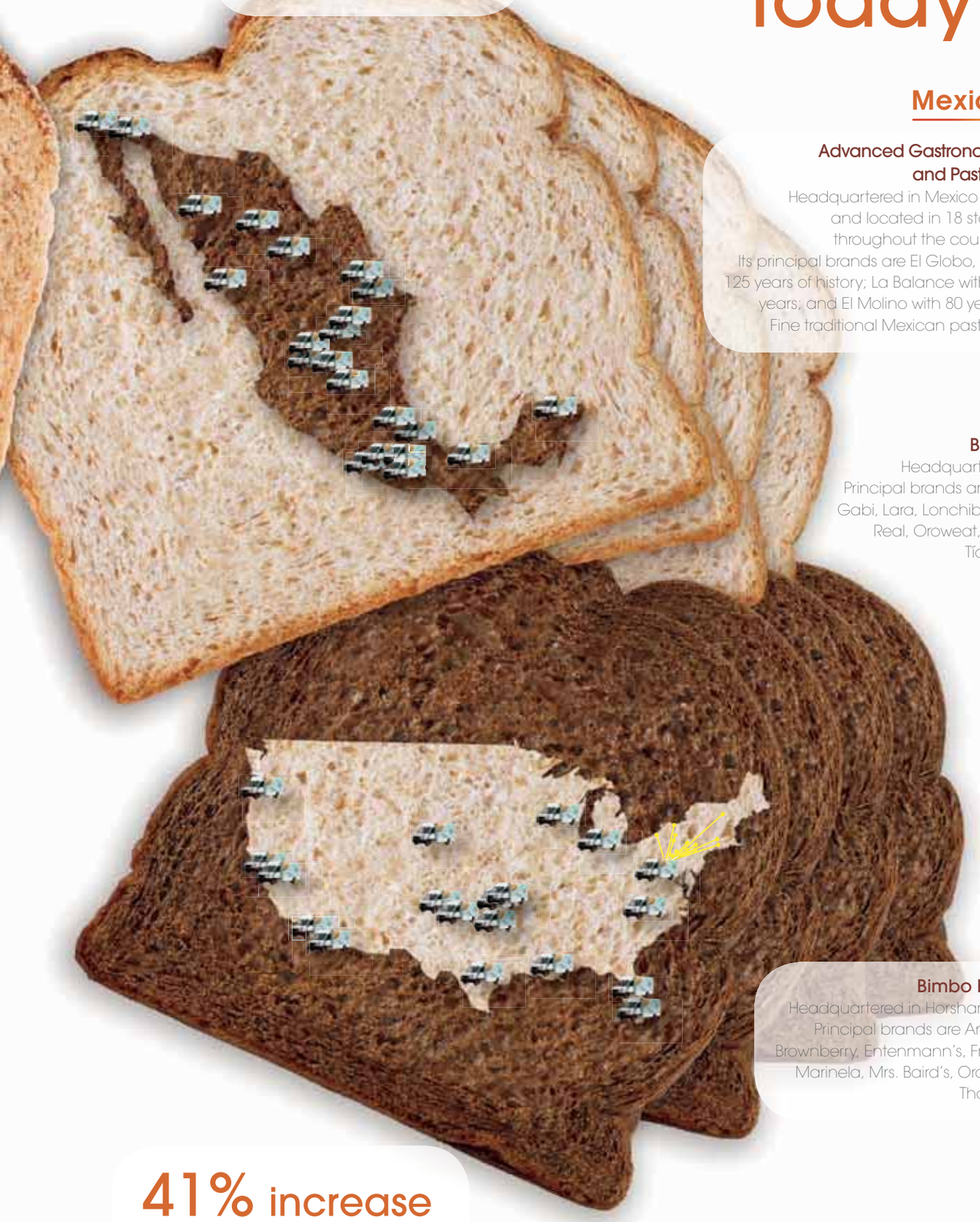
Organizacion Barcel S.A. de C.V.
Headquartered in Lerma, Mexico.
Principal brands are Barcel, Coronado, Juicee Gummee, La Corona and Ricolino.

Mexico

Advanced Gastronomy and Pastries
Headquartered in Mexico City and located in 18 states throughout the country.
Its principal brands are El Globo, with 125 years of history; La Balance with 25 years; and El Molino with 80 years.
Fine traditional Mexican pastries.

Mexico

Bimbo S.A. de C.V.
Headquartered in Mexico City.
Principal brands are Bimbo, Del Hogar, Gabi, Lara, Lonchibon, Marinela, Milpa Real, Oroweat, Sanissimo, Suandy, Tía Rosa and Wonder.



USA

Bimbo Bakeries USA, Inc.
Headquartered in Horsham, PA, United States.
Principal brands are Arnold, Bimbo, Boboli, Brownberry, Entenmann's, Francisco, Freihofer's, Marinela, Mrs. Baird's, Oroweat, Stroehmann, Thomas' and Tía Rosa.

41% increase
in net sales
in 2009 vs. 2008

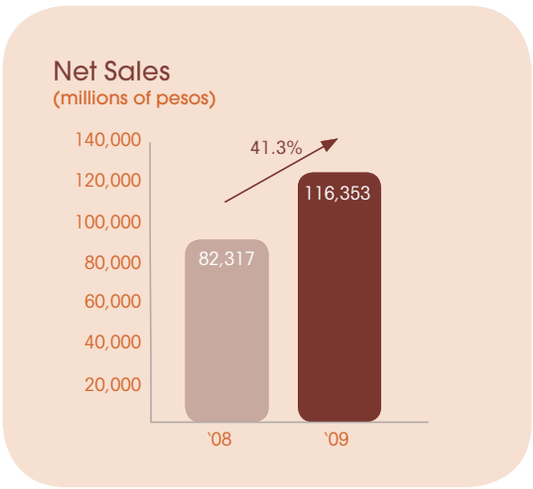


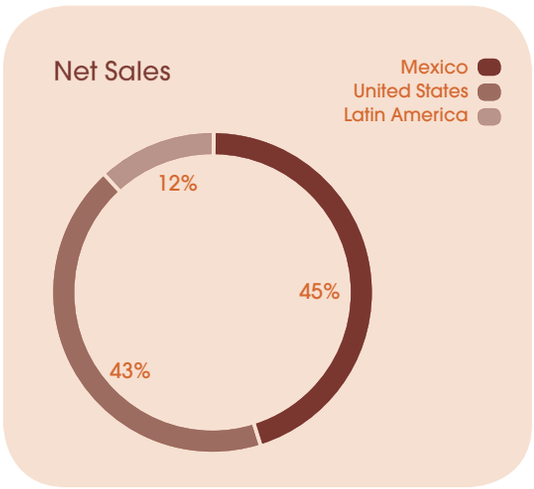
Contents

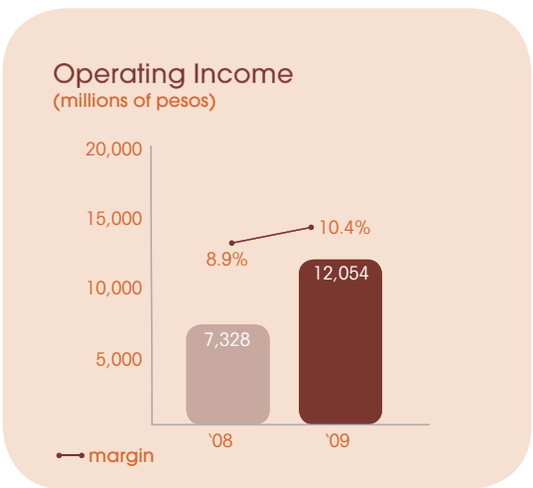
Grupo Bimbo Today	01
Financial and Operating Highlights	05
Letter from the Chairman	06
Letter from the CEO	08
Grupo Bimbo at a glance	10
With a global profile	11
And a local character	12
We try to offer consumers the best products	13
Using the most effective business model	14
In order to develop a sustainable advantage	15
Management Committee	16
Board of Directors	17
Governance Committees	17
Board Members	18
Advisory Boards	22
Corporate Governance	23
Management's Discussion and Analysis of Results	25
Consolidated Statements	29

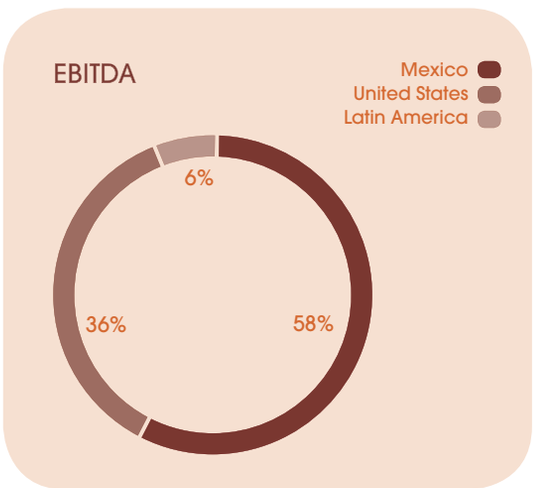
We are one company, with shared values and a single vision of leadership in the global baking industry. Yet our success requires strong execution at a very local level: individual strategies attuned to the consumer tastes and customer needs in every market where we compete.

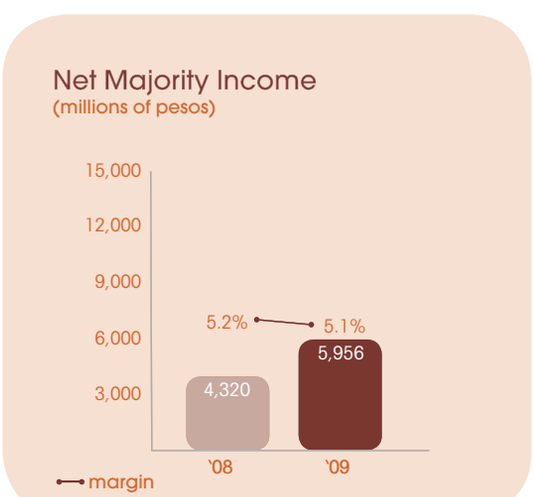


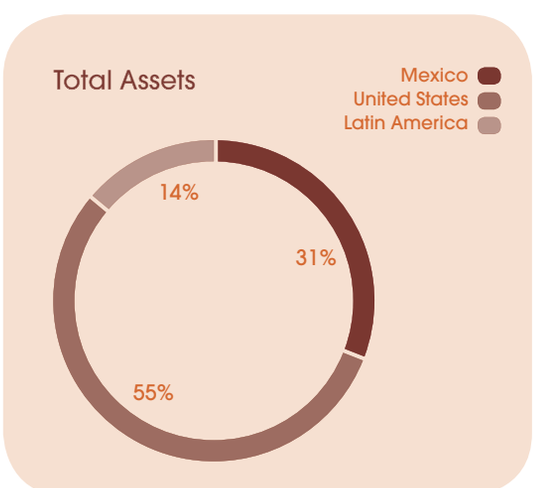

Net Sales
(millions of pesos)
140,000
120,000
100,000
80,000
60,000
40,000
20,000
41.3%
116,353
82,317
`08
`09


Net Sales
Mexico
United States
Latin America
12%
45%
43%


Operating Income
(millions of pesos)
20,000
15,000
10,000
5,000
10.4%
8.9%
12,054
7,328
`08
`09
margin


EBITDA
Mexico
United States
Latin America
6%
36%
58%


Net Majority Income
(millions of pesos)
15,000
12,000
9,000
6,000
3,000
5.2%
5.1%
5,956
4,320
`08
`09
margin


Total Assets
Mexico
United States
Latin America
14%
31%
55%

Financial and Operating Highlights

	2009	2008	% change
Net Sales[1]	116,353	82,317	41.3%
Mexico	55,388	54,845	1.0%
United States	49,850	18,049	> 100
Latin America	13,606	11,346	19.9%
Operating Income[1]	12,054	7,328	64.5%
Mexico	7,499	6,854	9.4%
United States	4,261	124	> 100
Latin America	301	431	-30.2%
Net Income	6,081	4,444	36.8%
Net Majority Income	5,956	4,320	37.9%
Total Assets	96,713	58,506	65.3%
Total Liabilities	55,756	23,532	> 100
Stockholders' Equity	40,957	34,974	17.1%
Book Value per Share[2]	34.11	29.14	17.0%
Earnings per Share[2]	5.07	3.67	37.9%
Net Debt / EBITDA	2.01	0.39	
Net Debt / Stockholders' Equity	0.78	0.11	
ROA	6.2%	7.4%	
ROE	14.5%	12.4%	

Figures expressed in millions of nominal Mexican pesos.
[1] Consolidated results exclude inter-company transactions.
[2] Data in Mexican pesos based on outstanding shares of 1,175,800,000 for 2008 and 2009.



Letter from the Chairman

It is with great satisfaction that I report to you Grupo Bimbo's 2009 results.

This year, during the most serious economic crisis of recent decades, we are reporting record sales and profits.

These positive results are due primarily to excellent performance in the U.S. operation, but also in the Company's other divisions, particularly Barcel, Central and South America and Bimbo, for having overcome the effects of the slowdown and the disproportionate increase in the price of its main raw materials.

Consolidated net sales totaled Ps. 116.3 billion, 41.3 % higher than in the previous year.

Net majority income also rose, totaling Ps. 6.0 billion or 37.9% above the 2008 figure.

In my report last year I expressed my great appreciation to the members of the Board and management team who were deeply involved in the decision-making and negotiations for the acquisition of Weston Foods, Inc.

In the light of the results this year, this recognition was fully justified and again I express my warmest congratulations.

In 2009, the following acquisitions were made: Weston Foods Inc. in the U.S.; a small bread plant in Colombia (Guadalupe) that was consolidated into our plant in Bogota; another small plant in Beijing; and the brands and assets of Saníssimo, a tostada producer in Monterrey, Mexico.

This year we also closed six plants, four in Mexico and two in other countries. Three of these six operations were relocated to existing plants to reduce unnecessary expenses and improve profitability.

Our operations in China are focused on better understanding the tastes and preferences of consumers and on maximizing growth by extending the operations organically and through acquisitions. This is a market with enormous potential that we envision influencing in the medium to long term.

We recognize that results at El Globo have been unsatisfactory mainly due to rural operations. There are plans for restructuring that will be carried out intensively in the near future, which should allow us to break even in 2010 and generate earnings in 2011.

It is also very satisfying to recognize that labor relations in 16 of the 17 countries where we operate

This year, during the most serious economic crisis of recent decades, we are reporting record sales and profits.

have been excellent. A situation prior to starting up operations at the newly acquired Lido plant in Honduras was resolved favorably.

Another source of satisfaction is that during the year we were recognized with eight major awards, both nationally and internationally. We are honored to have placed 17th worldwide in the Global Pulse 2009.

I want to share my appreciation for the extraordinary work being done by Reforestamos Mexico as something that began as a modest effort to contribute to the reforestation of the country, and that is now spreading rapidly to other aspects of environmental care.

Reforestamos Mexico is Grupo Bimbo's non-profit organization whose mission is to preserve and rehabilitate trees and forest ecosystems in the country, promoting sustainable management, environmental culture and the participation of all sectors of society for the benefit of people and the environment.

Reforestamos Mexico, which is focused on preserving and rehabilitating the trees and forest ecosystems of Mexico, was awarded the 2009 National Forestry Merit Award by the National Forestry Commission (Conafor).

Separately, in 2009 the Company's Stock Repurchase Fund did not conduct any transactions.

Also, the Board of Directors approved management's administration in the fiscal year now ended, as well as its report to the Board. The Board's approval is based on the opinion of our auditors and the Board considers that the Company's financial statements were prepared in accordance with Mexican Financial Reporting Standards, that accounting policies and standards were applied consistently and appropriately to the Company's circumstances, and that the financial information reasonably reflects the financial position and results of the Company.

As in the past, along with this report we present to the Shareholder Meeting reports from the Audit Committee, Corporate Practices Committee and the Chief Executive Officer as well as a report on the Company's compliance with tax obligations and another on the main accounting policies and criteria used in the preparation of the Company's financial information.

I would also like to thank, as in previous years, the efforts of management, all fellow associates and labor unions, and the support of shareholders. I also want to thank the Board Members and particularly the Finance and Planning Committee for the additional work and strong commitment made evident with the new acquisitions.



Roberto Servitje
Chairman of the Board of Directors
April 14, 2010.



Letter from the CEO

I am delighted to report an exceptional year at Grupo Bimbo. In 2009 we successfully integrated the largest acquisition in our history, significantly enhanced our customer base and market penetration, launched successful new products and generated important productivity gains.

These factors contributed to record financial performance. Net sales rose 41.3% to Ps. 116.3 billion. Gross margin expanded 1.7 percentage points, to 52.8%, primarily reflecting the easing of commodity costs, more stable FX rates and productivity gains.

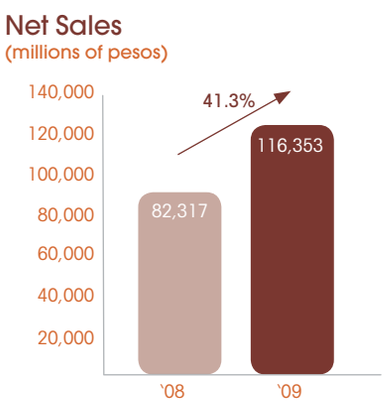
At the operating level, tight control of administrative expenses across the Company, greater distribution efficiency and strong performance in the United States helped expand operating and EBITDA margins by 1.5 and 1.7 percentage points, respectively, to 10.4% and 13.6%. Net majority income totaled Ps. 6.0 billion in the year, an increase of 37.9% compared to 2008. Operating improvements in Mexico and the United States helped drive our performance this year.

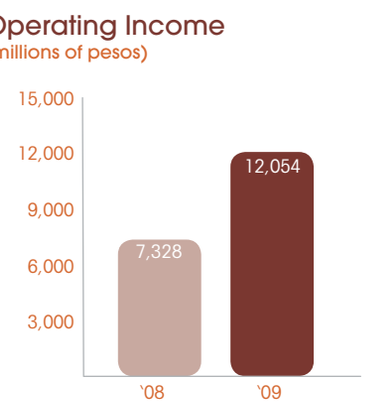
In the United States, one of the key factors was the integration of the U.S. fresh bakery business of Weston Foods, Inc. This US$2.5 billion acquisition was truly transformative for Grupo Bimbo, expanding our distribution platform and product portfolio, and enhancing our commercial strength in a highly competitive market. It also substantially strengthened our cash generation. I am pleased to note that we are meeting the three objectives we set out for the integration: to maintain visibility and earnings momentum in the East, improve profitability in the West, and to deliver synergy benefits overall.

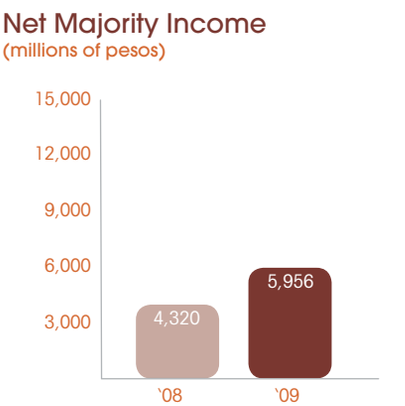
In terms of our financial structure, at the beginning of the year we secured US$2.3 billion in financing for the transaction in the United States, all the more remarkable given the condition of the credit markets at the time. After bringing in more than a dozen financial institutions for that loan, in June we refinanced US$600 million to long term through a bond issue in the Mexican capital market.

One of our fundamental objectives and commitments has been to reduce our leverage, so we were very disciplined about cash management and the use of resources. This enabled us to prepay more than US$400 million in financial obligations before the end of the year, improving our credit profile and financial flexibility earlier than expected. At year end, average maturities and the amortization schedule were more comfortable and better aligned with our cash flows.

These were especially positive developments in an otherwise challenging year. The economic environment weakened consumer demand which put pressure on volumes, with a flight to value on prices and promotions. The erosion of consumer







purchasing power in many of the markets where we operate offset the benefit of lower commodity costs. To counteract those factors, we made investments in product innovation, advertising, promotions and merchandizing, which were more vital than ever to strengthening brand value and supporting consumption.

In all our operations we are tailoring our strategy to meet the specific needs of each market. Local character also means local accountability, and we are empowering our associates to drive growth and continuous improvement from the ground up.

At the same time, Grupo Bimbo's global profile is strengthened by continued adherence to a set of fundamental principles and values. These include trustworthy brands, commitment to innovation, strong relationships with customers, financial discipline, extraordinary workplaces for our associates, and an unwavering commitment to safety and health. This includes the health of our consumers; Grupo Bimbo adheres to the World Health Organization's (WHO) Global Strategy on Diet, Physical Activity and Health.

Similarly, social responsibility has been integral to Grupo Bimbo since its founding, and we see many of our efforts in this sphere as a competitive differentiator. We are actively pursuing alternative energy options to generate our electricity needs, and we are the first consumer goods company in Latin America to introduce 100% degradable packaging.

Looking ahead at 2010, I believe that Grupo Bimbo is better positioned than ever to face the challenges of the economic environment and competitive landscape, which we expect will remain tough.

Our focus will be on cultivating the loyalty and preference of consumers and customers at the local level, in every market where we operate, in order to generate stronger volumes. These efforts should bring us closer to realizing our Vision 2010 –becoming a world leader in the baking industry and one of the top companies in the food industry– which is only possible because of the commitment of the more than 100,000 associates who make up our great team.

I would like to extend my appreciation to our customers and consumers for propelling us to this position of leadership, and to our investors for your confidence in our vision. To all our associates, thank you for your continued dedication and commitment, I am proud to be a member of your team.



Daniel Servitje
Chief Executive Officer
April 14, 2010.

Grupo Bimbo **at a glance**

Grupo Bimbo is the leading baked goods company in the world, with over Ps. 116 billion in net sales in 2009. We make over 7,000 products under more than 150 well-known brands names in categories such as bread, buns, cookies, cakes, pastries, sweet bread, English muffins, bagels, packaged foods, tortillas, salted snacks and confectionary goods. The company's shares trade on the Mexican Stock Exchange under the ticker symbol BIMBO.

17 Operations in countries

+ 102,000 associates





Consolidated net sales totaled Ps. 116 billion, 41.3% higher than in 2008.

With a global profile…

Grupo Bimbo was founded in 1945 as a small neighborhood bakery in Mexico City. Its 34 associates shared a vision of "feeding, pleasing and reaching all of Mexico's households."

While the size and scale of the operation has changed dramatically, that vision is remarkably relevant today. In all our operations across the Americas and in China, and shared among our more than 100,000 associates worldwide, is a conviction that feeding, pleasing and reaching our customers is fundamental to continued success.

The Company's growth has required focused execution and disciplined financial management. This was all the more relevant in 2009 and secured US$2.3 billion in funding to finance the Weston Foods acquisition at a time when banks were extremely selective about such transactions. Thanks to healthy free cash flow, we made rapid progress in deleveraging the balance sheet over the course of the year.

The Company issued Ps. 10,000 million through *Certificados Bursátiles* (domestic bonds) in the Mexican capital markets in June 2009, the largest transaction of this kind in Latin America during the financial crisis, and one of the largest corporate bond issuances in the history of Mexico's capital market. It was met with solid demand, and proceeds were used to refinance existing loans, including a bridge loan for the Weston Foods acquisition. The Company's debt amortization schedule is well-aligned with its expected future cash flows.

Our global profile was significantly enhanced in 2009 with the integration of the U.S. fresh bakery business of Weston Foods, Inc. The consolidated operation, known as Bimbo Bakeries USA (BBU), became one of the largest baked-goods company in the United States, with a premium portfolio of brands in the bread, rolls, English muffins, bagels and sweet baked goods categories.



…And local character…

There is no such thing as a typical consumer. To succeed at the global level, we must strive to win at the local level. We make sure that our products suit the tastes of our consumers wherever they may live. We also adapt our sales strategy to the norms and needs of our clients. That is local character.

CHINA RURAL DELIVERY

Global supply chains, national advertising and regional manufacturing notwithstanding, how do you get the products on the shelves of the local corner store in cities north of Beijing?

We know how, because we are local. Such shopkeepers generally cannot afford to maintain large inventories, and allocate only pesos at a time to restock shelves. We can make small and frequent drops, help optimize our clients' product mix and enhance their in-store displays.

MIAN SHI

When we consider our products as "mian shi"–wheat related– and not just as baked goods, it opens up a new world of possibilities in China. While bread has made important inroads, traditional foods such as mantou and baozi (steamed buns) are still the dominant staples.

Thus our growth has come from successfully introducing a range of products that incorporate our know-how with local ingredients such as red bean paste. A key competitive advantage is the consistent quality and safety of our products.

more than **39,000**
distribution routes





…We try to offer consumers the best products…

While no customer is alike, we understand what they like:

- Great taste
- Consistent and high quality
- Value

With over 7,000 SKUs, we offer a tremendous range of baked goods and snacks that appeal to consumers young and old across all our markets. Some are looking for innovation –Hotnuts new flavors like chile and lime peanuts or new combinations such as marshmallow, coconut and strawberry jam cookies Sponch!– while others want the memories of childhood –Pan Blanco sliced white bread or Gansito snack cakes.

Research and development is essential to producing better products and more effective technologies. We have continuously invested in R&D, both directly in our laboratories and through global partnerships.







Successful product launches in 2009:

Sandwich Thins, from the Oroweat brand
(United States)
A full-flavored artisan type sandwich bread with 5g of fiber, 100 calories and just 1g of fat.

Hotkis
(Mexico)
Caramel-filled mini pancakes packaged as an anytime treat.

Vitta Natural 100% Integral, from the Nutrella brand
(Brazil)
The first line of packaged breads in this market without artificial preservatives and with fully degradable packaging and 100% whole grain.



…Using the most effective business model…

Creating a global leader in the food industry requires scale and efficiency in sales and distribution.

We made important inroads this year. In the United States. A key focus was the integration of our BBU East and BBU West operations. There was little overlap among the two previously, but significant opportunity to leverage the national platform in terms of consolidating the national retailer strategy and identifying manufacturing, distribution and administrative synergies.

In Mexico, we have made significant investment in recent years to modernize distribution through truck overhauls, on-route warehouses and real-time data. That process was largely completed in 2009, and focus during the year was on cost reduction through route optimization and improved drop sizes.

In Latin America we added more than 76,000 new clients in 2009, primarily in the traditional channel. Even with this significantly greater level of penetration, our distribution costs as a percentage of sales remained stable in the year.

Strong performance in the U.S. operation in 2009 reflected more than the BBU East acquisition: ongoing productivity initiatives at BBU West such as the optimization of assets, routes and administrative expenses helped drive the operating margin from 0.7% in 2008 to 8.5% in 2009.





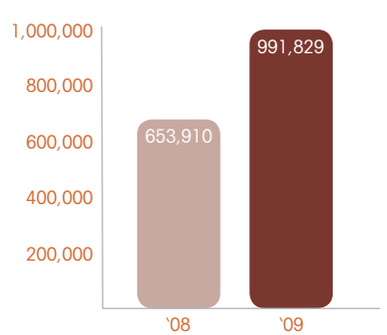
Termic energy consumption index has declined 33% this decade.

...In order to develop a sustainable advantage.

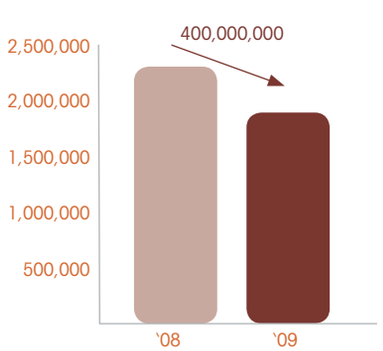
Sustainability means having the right systems and processes in place to ensure that the business will thrive over the long term. In 2009, we furthered this process in a number of areas:

- Our people: Succession planning, training, and talent recruitment and development; as well as the launch of new workplace safety and health policies with a zero tolerance for accidents and a preventive approach to well being.
- Our consumers: Gaining a deeper understanding of needs and preferences across multiple socio-demographic groups.
- Our markets: Beyond products and distribution, staying ahead of health and nutrition trends and regulatory developments.
- Our resources: Managing natural resources to maximize economic and social aims, with a focus on energy conservation, water usage and treatment, waste management and emissions reduction.

Training hours per person



Water savings





We encourage you to read our 2009 Corporate Responsibility Report to learn about the full range of initiatives Grupo Bimbo is undertaking.



Management Committee

Daniel Servitje
Chief Executive Officer, Grupo Bimbo
Joined Grupo Bimbo in 1978; bachelor's degree in business administration from Universidad Iberoamericana, MBA from Stanford University
Member of the Board of Directors of Coca-Cola FEMSA, Grupo Financiero Banamex, The Consumer Goods Forum and Grocery Manufacturers of America.

Pablo Elizondo
Senior Executive Vice President, Grupo Bimbo
Joined Grupo Bimbo in 1977; studied chemical engineering. He attended the Advanced Management Program, Harvard Business School.

Javier Augusto González
President, Bimbo S.A. de C.V.
Joined Grupo Bimbo in 1977; degree in chemical engineering, MBA from Universidad Diego Portales in Chile, Advanced Management Program, Harvard Business School, and President of ConMexico.

Gary Prince
President, Bimbo Bakeries USA
Joined Grupo Bimbo in 2009; more than 35 years experience in the baking industry.
Currently serves on the Board of Directors of the American Bakers Association and is also a Board Member of Students in Free Enterprise, Inc.

Gabino Gómez
President, Organizacion Barcel, S.A. de C.V.
Joined Grupo Bimbo in 1981; bachelor's degree in marketing, master's degree in business administration from the University of Miami.
Member of the Executive Board of ConMexico and member of the Food Group.

Alberto Díaz
President, Organizacion Latinoamerica
Joined Grupo Bimbo in 1999; industrial engineer with master's degree in management from the University of Miami and attended the Executive Program from Stanford University.

Guillermo Quiroz
Chief Financial Officer, Grupo Bimbo
Joined Grupo Bimbo in 1999; degree in actuarial studies, MBA from IPADE
Member of the board of directors of Grupo Altex and Fincomún.

Javier Millán
Chief Human Relations Officer, Grupo Bimbo
Joined Grupo Bimbo in 1977; studied philosophy and business administration
Board member of the Asociación Mexicana en Dirección de Recursos Humanos
Chairman of Reforestamos México, A.C.

Board of Directors

	Board Members	Alternative Members
PR	Roberto Servitje	Jaime Chico Pardo
I	Henry Davis	Paul Davis
I	José Antonio Fernández	Federico Reyes
I	Arturo Fernández	Alejandro Hernández
I	Ricardo Guajardo	---
I	Agustín Irurita	José Manuel Irurita†
PR	Luis Jorba	Jaime Jorba†
PR	Mauricio Jorba	Ramón Pedroza
PR	Francisco Laresgoiti	María del Pilar Mariscal
R	Nicolás Mariscal	Guillermo Lerdo de Tejada
PR	José Ignacio Mariscal	Raúl Obregón
PI	María Isabel Mata	Javier de Pedro
PR	Víctor Milke	Víctor Milke
PR	Raúl Obregón	Francisco Laresgoiti
PR	Roberto Quiroz	Rosa María Mata
I	Alexis E. Rovzar	Vicente Corta
PR	Lorenzo Sendra	Jorge Sendra
PR	Daniel Servitje	Pablo Elizondo

Chairman
Roberto Servitje

Alternate Chairman
Daniel Servitje

Secretary
Luis Miguel Briola

Alternate Secretary
Pedro Pablo Barragán

PR Patrimonial Related
PI Patrimonial Independent
I Independent
R Related

Governance Committees

Audit Committee

Chairman
Henry Davis

Arturo Fernández
Agustín Irurita
Alexis E. Rovzar

Secretary
Guillermo Sánchez

Corporate Practices Committee

Chairman
Ricardo Guajardo

Henry Davis
José Antonio Fernández

Secretary
Luis Miguel Briola

Evaluation and Results Committee

Chairman
Raúl Obregón

Javier De Pedro
José Antonio Fernández
Roberto Quiroz
Daniel Servitje
Roberto Servitje

Secretary
Javier Millán

Finance and Planning Committee

Chairman
José Ignacio Mariscal

Ricardo Guajardo
Mauricio Jorba
Víctor Milke
Raúl Obregón
Lorenzo Sendra
Daniel Servitje
Guillermo Quiroz

Secretary
Luis F. Sampson

Board Members

Roberto Servitje
Chairman, Grupo Bimbo
Board member of:
Fomento Económico Mexicano, S.A.B. de C.V.
Chrysler de México, S.A. de C.V.
Grupo Altex, S.A. de C.V.
Escuela Bancaria y Comercial
Memorial Hermann International Advisory Board (Houston, Texas)
Grupo Aeroportuario del Sureste, S.A.B. de C.V.

José Antonio Fernández
Chairman and CEO, Fomento Económico Mexicano, S.A.B. de C.V.
Chairman, Coca-Cola FEMSA, S.A.B. de C.V.
Chairman, Fundación FEMSA
Chairman, US-Mexico Foundation
Co-Chairman, Woodrow Wilson Center Mexico Institute
Vice Chairman, Instituto Tecnológico y de Estudios Superiores de Monterrey
Board member of:
Grupo Financiero BBVA Bancomer
Industrias Peñoles, S.A.B. de C.V.
Grupo Televisa
Volaris
Xignux, S.A. de C.V.
Cemex, S.A.B. DE CV.

Raúl Obregón
Managing Partner, Alianzas, Estrategia y Gobierno Corporativo, S.C.
Managing Partner, Proxy Gobernanza Corporativa, S.C.
Board member of:
Grupo Palacio de Hierro, S.A.B. de C.V.
Industrias Peñoles, S.A.B. de C.V.
Invermat, S.A. de C.V.
Comercializadora Círculo CCK, S.A. de C.V.
Altamira Unión de Crédito S.A de C.V.
Independent member of the evaluation and financing sub-committee of the Fondo Nacional de Infraestructura
Member of the governing board of the Instituto Autónomo de México

Victor Milke
CEO, Corporación Premium, S.C.
Board member of:
Nacional Financiera de la Ciudad de México
Congelación y Almacenaje, S.A.
Frialsa, S.A. de C.V.

Nicolás Mariscal
CEO, Grupo MARHNOS
Board member, Fundación Mexicana para el Desarrollo Rural, A.C.

Ricardo Guajardo
Board member of:
Grupo Financiero BBVA Bancomer
Instituto Tecnológico y de Estudios Superiores de Monterrey
Grupo Fomento Económico Mexicano, S.A.B. de C.V.
Coca-Cola FEMSA, S.A.B. de C.V.
Grupo Industrial Alfa
El Puerto de Liverpool
Grupo Aeroportuario del Sureste (ASUR)
Grupo COPPEL
Chairman, Fondo para la Paz
Chairman, SOLFI

Agustín Irurita
Board member, Grupo ADO
Member of the national board and executive committee, Confederación Patronal de la República Mexicana (COPARMEX)
Board member of:
Cámara Nacional de Autotransporte de Pasaje y Turismo (lifetime member)
Grupo Comercial Chedraui, S.A. de C.V.
Fincomún Servicios Financieros Comunitarios, S.A. de C.V.
Grupo Financiero Aserta, S.A. de C.V.

Daniel Servitje
CEO, Grupo Bimbo, S.A.B. de C.V.
Board member of:
Coca-Cola FEMSA, S.A.B. de C.V.
Grupo Financiero Banamex, S.A. de C.V.
The Consumer Goods Forum
Grocery Manufacturers of America

Lorenzo Sendra
Chairman, Proarce, S.A. de C.V.
Board member of:
Fundación Mexicana para el Desarrollo Rural, A.C.
Financiera Finamigo
Frialsa
Veladoras la Gloria

Henry Davis
Chairman, Promotora DAC, S.A.
Board member of:
Grupo Financiero IXE, S.A. de C.V.
Grupo Aeroportuario del Pacífico, S.A. de C.V.
Kansas City Southern
Telefónica Móviles México, S.A. de C.V.
Afianzadora Aserta Insurgentes, S.A.

Alexis E. Rovzar
Managing Partner, Latin American Practice, White & Case, LLP
Board member of:
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Fomento Económico Mexicano, S.A.B. de C.V.
Grupo ACIR
Grupo COMEX
The Bank of Nova Scotia
Endeavor Mexico, A.C.
Appleseed Mexico, A.C.
Provivah, A.C.
Philharmonic Orchestra of the Americas
Council of the Americas
Procura, A.C.
Qualitas of Life Foundation and other nonprofit organizations

J. Roberto Quiroz
Chairman and CEO, Grupo Industrial Trébol
Board member of:
Grupo Valacci, S.A. de C.V.
Grupo Altex, S.A. de C.V.
Grupo Invermat, S.A. de C.V.
Fundación J.T.M., A.C.
Advisory board member, Grupo Financiero Banamex

José Ignacio Mariscal
Chairman, Grupo Marhnos
Chairman, Una Sola Economía del CCE (Consejo Coordinador Empresarial)
VP, Fincomún Servicios Financieros Comunitarios
VP, Fundación Juan Diego
Member of the board, executive committee and chairman's office, Coparmex
Member of the board and executive committee, Comisión Ejecutiva de la Confederación USEM
Board member of:
Afianzadora Aserta, S.A. de C.V., Grupo Financiero Aserta
Grupo Calidra
Posadas de México
Former president and board member of:
Uniapac Internacional
Instituto Mexicano de Doctrina Social Cristiana

María Isabel Mata
CEO, Fundación José T. Mata
Board member of Administración de Tepeyac, A.C.

Luis Jorba
CEO, Frialsa Frigoríficos
Chairman, Efform, S.A. de C.V.
Board member of:
Texas Mexico Frozen Food Council
International Association of Refrigerated Warehouses
World Food Logistics Organization

Francisco Laresgoiti
CEO, Grupo Laresgoiti
Board member of:
Fundación Mexicana para el Desarrollo Rural, A.C.
Grupo Financiero Aserta, S.A.
Member of the board of finance:
Desarrollo Rural, S.A. de C.V.

Arturo Manuel Fernández
Dean, Instituto Tecnológico Autónomo de México (ITAM)
Board member of:
Industrias Peñoles, S.A.B. de C.V.
Grupo Nacional Provincial, S.A.B. de C.V.
Grupo Palacio de Hierro, S.A.B. de C.V.
Valores Mexicanos, Casa de Bolsa, S.A.B. de C.V.
Crédito Afianzador, S.A.
Grupo Financiero BBVA Bancomer
Fomento Económico Mexicano, S.A.B. de C.V.
Fresnillo plc

Mauricio Jorba
Board member of:
VIDAX
Promociones Monser, S.A. de C.V.

Advisory Boards

BBU

Ambassador Jeffrey Davidow
Chairman, Institute of the Americas
(former US Ambassador to Mexico)
La Jolla, CA

Henry Davis
CEO, Promotora DAC, S.A. de C.V.
(former CEO of Walmart Mexico)
Mexico City

Bernard Kastory
Professor, New York University
(former EVP of Bestfoods)
Vero Beach, FL

José Ignacio Mariscal
Chairman, Grupo Marhnos, S.A. de C.V.
(former CEO of Marhnos)
Mexico City

Robert C. Nakasone
(former EVP of Jewel and CEO of Toys R Us)
Santa Barbara, CA

Brian D. O'Neill
(former Undersecretary of Affairs in the Western Region, US Treasury Department)
New York, NY

Betsy Sanders
Principal, The Sanders Partnership
(former VP and General Manager of Nordstrom, Inc.)
Sutter Creek, CA

Roberto Servitje
Chairman, Grupo Bimbo

Daniel Servijte
CEO, Grupo Bimbo

Gary Prince
CEO, Bimbo Bakeries USA

Reynaldo Reyna
EVP, Western Operations, Bimbo Bakeries USA

Fred Penny
EVP, Eastern Operations, Bimbo Bakeries USA

Guillermo Quiroz
CFO, Grupo Bimbo

OLA

João Alves de Queiroz
Chairman, Monte Cristalina S.A.
São Paulo, Brasil

Alberto Hoyos
Chairman, Compañía de Galletas Noel S.A.
Medellín, Colombia

Victor Milke
CEO, Corporación Premium, S.C.
Mexico City

Luis Pagani
Chairman, Grupo Arcor
Buenos Aires, Argentina

Leslie Pierce Diez
General Manager, Alicorp S.A.
Lima, Peru

Lorenzo Sendra
Chairman, Proarce S.A. de C.V.
Mexico City

Eduardo Tarajano
Private Investor
Key Biscayne, Florida

Roberto Servitje
Chairman, Grupo Bimbo

Daniel Servitje
CEO, Grupo Bimbo

Guillermo Quiróz
CFO, Grupo Bimbo

Alberto Díaz
CEO, Organizacion Latinoamerica

Corporate Governance

BOLSTERING INVESTOR CONFIDENCE

Throughout its development, Grupo Bimbo has always put the principles of business ethics into practice. Grupo Bimbo adheres to the Code of Best Corporate Practices, an initiative of the Mexican Stock Exchange (BMV), which establishes the basis of corporate governance for companies in Mexico, particularly those listed on the BMV, thus bolstering investor confidence.

At Grupo Bimbo, these principles for sound business management are applied through the Board of Directors, among whose duties include helping management define policies and strategies, as well as recommending ways to increase efficiency in order to benefit shareholder interests. The Board also participates in decisions related to the effective allocation of the Group's resources, specifically for investments or divestitures.

STRUCTURE OF THE BOARD OF DIRECTORS

The Board of Directors of Grupo Bimbo is comprised of 18 directors and 17 alternate directors nominated and ratified at the Shareholders' Meeting on April 15, 2009.

The Board relies on the support of four governance committees to carry out its functions:

Audit Committee

Comprised solely of Independent Directors, its principal function is to verify that Grupo Bimbo's operations are carried out in accordance with applicable regulations; the committee has the authority to evaluate and supervise management's activities related to compliance with accounting policies and practices, to assess the performance of Grupo Bimbo's external and internal auditors, to investigate violations of internal control and internal auditing policies, and to evaluate policies for risk management, among others. The Audit Committee also issues opinions on any material changes in the accounting policies, criteria and practices applied in the preparation of Grupo Bimbo's financial statements, as well as on matters concerning the execution of material or unusual transactions.

Corporate Practices Committee

Pursuant to the provisions of the Securities Law, as amended in December 2005, the Board of Directors of Grupo Bimbo established a committee to conduct corporate practices activities. Comprised solely of Independent Directors, this Committee has the authority to issue opinions on related party transactions, the appointment, evaluation and dismissal of the Chief Executive Officer and other senior officers, and on policies for the overall compensation of the Chief Executive Officer and the senior officers of Grupo Bimbo.

Evaluation and Results Committee

Responsible for analyzing and approving the general compensation structure of Grupo Bimbo, as well as the policies and guidelines for compensation and development programs for officers and employees of Grupo Bimbo and its subsidiaries. This committee also has the authority to analyze Grupo Bimbo's financial results and their impact on the general compensation structure of the Group.

Finance and Planning Committee

Responsible for analyzing and submitting for approval to the Board of Directors its evaluation of Grupo Bimbo's long-term strategies and its principal investment and financing policies, as well as identifying risks and the evaluating risk management policies.

Code of Ethics

Grupo Bimbo also relies on self-regulated measures that govern its business practices, such as the Code of Ethics that covers general aspects and policies for interacting with various groups in its environment:

- With associates, to ensure respect for their dignity and individuality and to facilitate an environment for their well-being and development.
- With shareholders, to provide them with a reasonable profit on a sustained basis.
- With suppliers, to maintain cordial relations and promote their development.
- With customers, to provide exemplary service and support their growth and development through the value of our brands.
- With our competitors, to compete vigorously and objectively on the basis of fair trade practices.
- With consumers, to guarantee healthy foods and a variety of products through continuous improvement.
- With society, to promote the strengthening of universal ethical values and to support the economic and social growth of the communities where we operate.

Conflicts of Interest

Internally, in order to avoid conflicts between the personal interests of associates and those of the company, and to facilitate a solution if required, all associates must declare any financial or non-financial interest they may have that might conflict with their duties at Grupo Bimbo.

In the case of executives and directors, a "Conflicts of Interest" policy has been established with a special form that must be completed annually for this purpose. Breach of this policy may result in employment termination.

Management's Discussion and Analysis of Results

Unless otherwise stated, all figures herein are expressed in millions of nominal Mexican pesos and are prepared in accordance with Mexican Financial Reporting Standards.

OVERVIEW

In 2009, Grupo Bimbo registered the strongest performance in its history. Record results were driven by the successful integration of Weston Foods, Inc., now BBU East, the largest acquisition in the Company's history to date. In addition, a more beneficial commodity environment, ongoing productivity gains and a range of other efforts such as new product launches, route consolidation in Mexico and the U.S., continued market penetration in Latin America, and streamlined production across the Company helped propel results to record levels. Net sales grew 41.3% to Ps. 116,353, operating income rose 64.5% to Ps. 12,054 with a 1.5 percentage point expansion in the margin to 10.4%, and net majority income rose 37.9% to Ps. 5,956.

FACTORS AFFECTING PERFORMANCE

The key external factors and trends that impacted the Company's operating and financial performance in 2009 included:

- A challenging consumption environment resulting from the global economic slowdown that began in 2008 and continued throughout 2009; the impact on consumer spending put pressure on volumes and prices across most of the Company's markets.
- A highly competitive environment across most of the categories in which the Company competes, in both the United States and Mexico.
- A more favorable cost environment for raw materials compared to 2008, as a result of easing pressures in the international commodities markets. In the case of wheat, which is the basis for the Company's principal input of wheat flour, the average price in 2009 declined 33% from the average 2008 price.

NET SALES

Net sales totaled Ps. 116,353 in 2009, a 41.3% increase over 2008 driven primarily by the incorporation of BBU East in the United States and, to a lesser extent, by double-digit growth in Latin America.

In Mexico, sales remained stable at Ps. 55,388 mainly as a result of new product launches which offset the weak consumption environment. By category, snack foods outperformed, as did sales in the modern channels.

In the United States, net sales almost tripled to Ps. 49,850 as a result of the incorporation of BBU East and healthy volume performance that reflected successful

new product launches and the initial stages of national distribution for what were once primarily regional brands.

In Latin America, net sales grew 19.9% to Ps. 13,606 due to volume growth generated by the continued expansion of the distribution network. Approximately 76,700 new customers were added in 2009, primarily in the traditional channel. Results were strongest in Brazil and Colombia.

GROSS MARGIN

Gross margin expanded by 1.7 percentage points to 52.8% as a result of easing pressures on raw material costs compared to peak commodity prices in 2008 as well as more stable FX rates.

On a regional basis, the gross margin in Mexico expanded 1.7 percentage points to 55.1%, due to the aforementioned improvement in the raw material costs as well as a more stable FX rate and cost savings programs implemented over the course of the year that lowered indirect production costs.

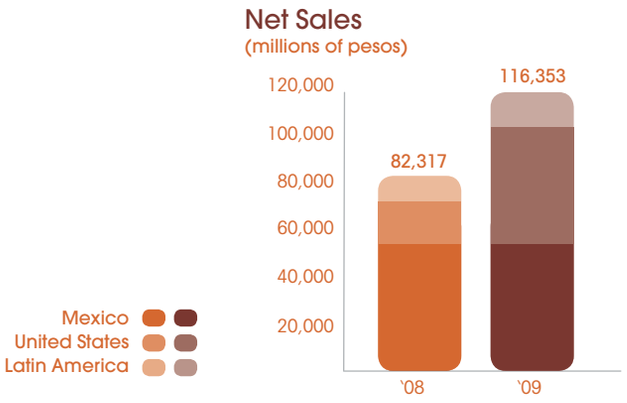
In the United States, the margin expanded by a significant 6.5 percentage points to 50.5%. This was the combined result of: i) the incorporation of BBU East and its more efficient cost structure, ii) lower commodity and energy prices from the year ago periods; iii) greater manufacturing productivity in the West, including the benefit of a plant closure; and iv) better absorption of fixed costs resulting from higher sales volumes.

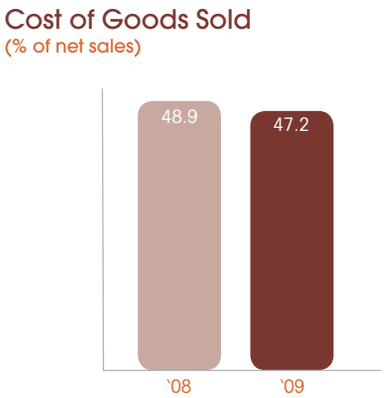
In Latin America, the gross margin remained unchanged at 42.2%. The more favorable raw material cost environment was offset by an increase in labor costs in some of the Company's operations in the region.

OPERATING EXPENSES

Operating expenses represented 42.4% of net sales, a year-over-year increase of 0.3 percentage points. This mainly reflected: i) lower absorption of fixed expenses in Mexico; ii) higher distribution expenses in Latin America resulting from the Company's efforts to increase the packaged bread penetration in that region; and iii) a non-cash charge of approximately US$20 million registered in the U.S. for the amortization of certain intangible assets included in the acquisition of BBU East.

These factors more than offset the benefit of a more efficient distribution structure in Mexico and better results in the U.S. related to: i) the integration of BBU East and its more efficient expense structure; ii) ongoing initiatives at BBU West such as route consolidation, and iii) better expense absorption derived from higher sales volume.





OPERATING INCOME

On a consolidated basis, operating income rose 64.5% to Ps. 12,054 in 2009, with a record margin of 10.4%, an expansion of 1.5 percentage points from the year ago figure.

In Mexico, the margin expanded by 1.0 percentage point, to 13.5% despite soft top line growth, lower absorption of fixed expenses and ongoing advertising and promotional activity to boost consumption. The higher gross margin and ongoing efficiency improvements in distribution, such as route consolidation and the closure of distribution centers, contributed to the expansion.

In the United States, the margin rose from 0.7% in 2008 to 8.5% in 2009, with Ps. 4,261 of operating income compared to Ps. 124 registered in the previous period. This was driven by: i) the aforementioned expansion of the gross margin; ii) the incorporation of BBU East; iii) results from ongoing productivity initiatives at BBU West, such as the optimization of assets, routes and administrative expenses; and iv) shared best practices between regions.

In Latin America, the operating margin contracted 1.6 percentage points to 2.2%, mainly due to higher sales and distribution expenses associated with the efforts to increase market penetration, as well as higher labor costs. While operating performance in several countries generated positive results during the year, most notably in Brazil, it is important to note that the improvements were offset by the significant deterioration of operating results in Venezuela.

OTHER EXPENSES

Other expenses for the year totaled Ps. 613 million, resulting mainly from: i) the write-off of certain fixed assets in Mexico, Central and South America, and ii) a charge related to the recognition of certain labor cost liabilities from previous years in Central and South America, as per Bulletin D-3 of Mexican Financial Reporting Standards.

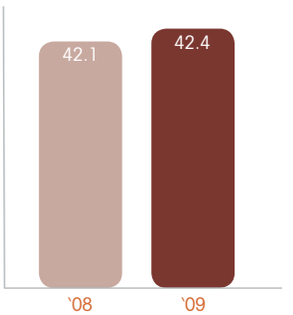
COMPREHENSIVE FINANCING RESULT

Comprehensive financing resulted in Ps. 2,012 in 2009 due to a higher interest expense associated with the new debt contracted in January of 2009 to finance the acquisition of BBU East.

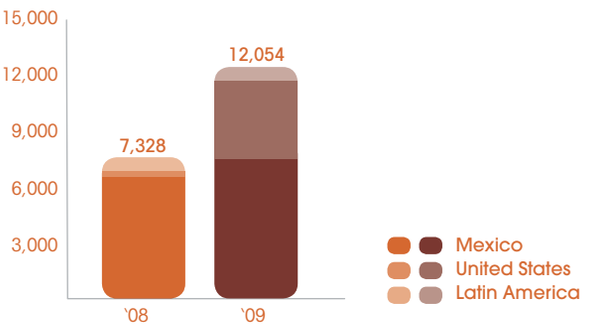
TAXES

The effective income tax rate for 2009 was 31.7%. It should be noted that as a result of the Company's decision to proceed with a tax deconsolidation in Mexico, as announced in early 2010, there was a net tax impact of Ps. 168 million in the fourth quarter of 2009.

Operating Expenses
(% of net sales)



Operating Income
(millions of pesos)



NET MAJORITY INCOME

Net majority income rose 37.9% to Ps. 5,956, while the margin remained virtually unchanged at 5.1%. This result is explained by the abovementioned factors: i) the increase in other expenses; ii) the increase in comprehensive financing costs; and iii) the one-time charge reflecting the net tax impact of the Company's decision to proceed with a tax deconsolidation in Mexico. These factors more than offset the expansion in the operating margin for the year.

EARNINGS BEFORE INTEREST, TAXES, DEPRECIATION AND AMORTIZATION (EBITDA)

EBITDA totaled Ps. 15,837, an increase of 61.1% compared to 2008, which represented a margin of 13.6%, 1.7 percentage points higher than in 2008. The differential between the EBITDA margin expansion and the operating margin expansion is due to the aforementioned amortization charge taken in the U.S. against operating income, but was added back in to EBITDA.

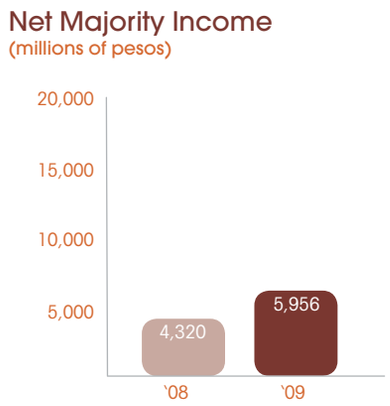
FINANCIAL STRUCTURE

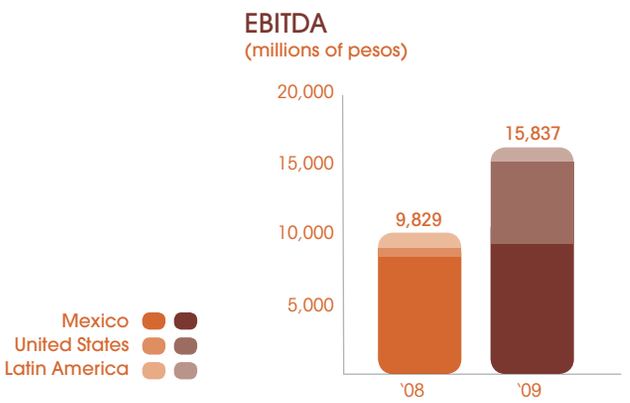
As of December 31, 2009, the Company's cash position totaled Ps. 4,981, compared to Ps. 7,339 in 2008. This decrease is mainly explained by the Company's prepayment in November 2009 of US$300 million of its revolver facility due in July 2010, reflecting the strong and healthy cash generation of the U.S. operation as well as the continued strength of the Mexican operation.

As a result of the Company's refinancing in the local bond market in June 2009, along with its solid cash generation, total debt at year end 2009 was Ps. 36,740, with an average maturity of 3.2 years; short-term debt comprised only 13% of the total and the remaining 87% was long-term. The currency mix was 62% in Mexican pesos, with the remaining 38% in U.S. dollars.

Net debt was Ps. 31,759, compared to Ps. 3,793 registered in 2008. This increase is due to the credit facilities secured to finance the BBU East acquisition in the United States in January 2009, which structurally modified the Company's balance sheet.

Grupo Bimbo's decision to undertake a tax deconsolidation in Mexico, as announced on January 8, 2010, had no material effect on the Company's financial position.





Audit Committee's Letter

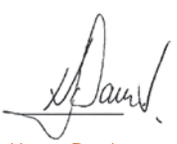
Mexico City, March 10, 2010.

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

In my capacity as Chairman of the Audit Committee (the "Committee") of Grupo Bimbo, S.A.B. de C.V., (the "Company") and in compliance with the statutes in paragraph e), section II of Article 42 of the Securities Market Law, I hereby submit the opinion of the Committee with respect to the contents of the report of the Chief Executive Officer on the financial position and results of operation of the Company for the year ended December 31, 2009.

In the opinion of the Committee, the accounting policies and criteria used by the Company and considered in the preparation of the consolidated financial information are appropriate and sufficient, and were applied in a consistent manner in accordance with Mexican Financial Reporting Standards. Accordingly, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial position and results of operation of the company at December 31, 2009.

Sincerely,



Henry Davis
Chairman of the Audit Committee
Grupo Bimbo, S.A.B. de C.V.

Audit Committee Report

Mexico City, March 10, 2010.

To the Board of Directors of
Grupo Bimbo, S.A.B. de C.V.

In compliance with the provisions of the Securities Market Law, the bylaws of the Company and the Regulations of the Audit Committee, I hereby inform you of the activities undertaken by the Audit Committee during the year ended December 31, 2009. In carrying out our work, we have taken into consideration the recommendations established by the Code of Best Corporate Practices.

The Committee in full met on five sessions during the year and, as per our work plan, undertook the following activities:

EXTERNAL AUDIT

As part of the negotiation that took place in 2008, the external auditor contracted to perform the audit of the financial statements for 2009 remains the same and is the only firm for all the operations and countries in which Grupo Bimbo has a presence.

We verify and confirm that the contracted firm has maintained its independence. We also analyze their approach, work program and areas of interaction with Grupo Bimbo's Internal Audit department.

On an ongoing basis we maintained direct communication with the external auditors and they kept us informed periodically on the progress of their work and any observations they had; we took note of their comments on the quarterly and annual financial statements. We were informed in a timely manner about their conclusions and reports on the annual financial statements.

After analyzing the time and fees incurred, we authorized payment to the external auditors for auditing and other approved services. We are assured that their independence from the Company was not compromised.

INTERNAL AUDIT

We reviewed and approved the annual work plan and budgeted activities for the year.
We received and approved the periodic reports on the state of progress of the approved work plan.
We followed up on the comments and suggestions made, as well as on their implementation.
We verified that there was an annual training program in place and verified that it was effective.

FINANCIAL INFORMATION AND ACCOUNTING POLICIES

We reviewed the quarterly and annual financial statements of the Company with the personnel responsible for their preparation, recommended their approval by the Board of Directors, and authorized their publication. Throughout the process we took the opinions and comments issued by the external auditors into consideration.

With the support of the internal and external auditors, in issuing our opinion on the financial statements we verified that the accounting policies and criteria and the information utilized by management in the preparation of the financial statements was appropriate and sufficient and had been applied in a manner that was consistent with the prior year. As a result, the information presented by management fairly reflects the financial position, results of operations and cash flows of the Company.

We approved the adoption of the new accounting procedures and standards that went into effect in 2009 which were issued by the organization responsible for accounting standards in Mexico.

INTERNAL CONTROLS

We verified that management has established general guidelines for internal control, as well as the necessary procedures to implement and comply therewith. In addition, we followed up on the comments and observations made by the external and internal auditors in this regard during the course of their work.

COMPLIANCE WITH APPLICABLE REGULATORY STANDARDS AND LAWS; CONTINGENCIES

With the support of the internal and external auditors, we confirmed the existence and reliability of the controls established by the Company to assure compliance with the various legal statutes to which it is subject, and assured that there was adequate disclosure in the financial information.

We periodically reviewed the Company's numerous tax, legal and labor contingencies and confirmed that appropriate procedures were in place to identify and address such contingencies.

CODE OF ETHICS

With the support of those responsible at the Company, we verified the existence of the Code of Ethics for associates as well as the instructions to be reviewed by everyone prior to signing their agreement to the document annually. In addition, we suggested to management that establishment of a communication or whistle-blower line for Grupo Bimbo's associates, which will be implemented next year.

COMPLIANCE WITH OTHER OBLIGATIONS

We held meetings with executives and officers as considered necessary to remain informed about the progress of the Company and any relevant or unusual activities and events.

We obtained information about significant matters that could involve possible non-compliance with operating policies, the internal control system and policies on accounting records, and we were also informed of corrective measures taken in each such instance and found them satisfactory.

We did not deem it necessary to request advice or opinions from independent experts, because the issues addressed in each meeting were duly supported by the necessary relevant information; as such the conclusions we reached were satisfactory to Committee members.

In my capacity as Chairman of the Audit Committee, I reported quarterly to the Board of Directors on the activities conducted within the Committee.

The work that we conducted was duly documented in minutes prepared for each meeting, which were reviewed and approved at the time by the members of the Committee.

Sincerely,



Henry Davis
Chairman of the Audit Committee
Grupo Bimbo, S.A.B. de C.V.

Corporate Practices Committee Report

January 28, 2010.

Don Roberto Servitje
Chairman of the Board of Directors, Grupo Bimbo, S.A.B. de C.V.

Prolong. Paseo de la Reforma No. 1000
Colonia Peña Blanca Santa Fe
Deleg. Álvaro Obregón
01210 México, D.F.

RE: Report of Activities of the Corporate Practices Committee

Dear Don Roberto,

I hereby report that the Corporate Practices Committee (the "Committee") of Grupo Bimbo, S.A.B. de C.V. ("Bimbo") met on two occasions during the 2009 fiscal year pursuant to the provisions of the bylaws and the Securities Market Law.

In these meetings a variety of topics within the purview of the Committee were reviewed, including the following highlights:

1. Approval of Bimbo's Internal Control Policy for Related Party Transactions and Certification of Compliance by the various organizations within Bimbo.
2. Review of the report by the Company's external auditors and the VP of Internal Audit for audits conducted in 2009, which were duly adopted by the Committee.
3. Review and recommendation for approval by the Board of each and every related party transaction requiring approval by the Board of Directors.
4. Review and recommendation for approval by the Board of the policies for the designation, evaluation and compensation of the Chief Executive Officer as well as the members Bimbo's Executive Committee in 2009.

The Committee received the necessary information from officers and employees of Bimbo and they were available for interviews with the Committee. The meetings were documented in minutes and accompanied by supporting materials prepared by management.

Please do not hesitate to contact me if you have any questions or comments in connection herewith.

Sincerely,



Ricardo Guajardo
Chairman of the Corporate Practices Committee

Independent Auditors' Report

to the Board of Directors and Stockholders
of Grupo Bimbo, S. A. B. de C. V.

We have audited the accompanying consolidated balance sheets of Grupo Bimbo, S. A. B. de C. V. and subsidiaries (the "Company") as of December 31, 2009 and 2008, and the related consolidated statements of income, changes in stockholders' equity and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with auditing standards generally accepted in Mexico. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement and that they are prepared in accordance with Mexican Financial Reporting Standards. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the financial reporting standards used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

As mentioned in Note 3, beginning January 1, 2009, the Company adopted the following new financial reporting standards and its interpretations: NIF B-7, *Business Acquisitions;* NIF B-8, *Consolidated or Combined Financial Statements;* C-7, *Investments in Associated Companies and Other Permanent Investments;* C-8, *Intangible Assets; and INIF-18 Recognition of Effects of the 2010 Tax Reform on Income Taxes.*

In our opinion, such consolidated financial statements present fairly, in all material respects, the financial position of Grupo Bimbo, S. A. B. de C. V. and subsidiaries as of December 31, 2009 and 2008, and the results of their operations, changes in their stockholders' equity and their cash flows for the years then ended in conformity with Mexican Financial Reporting Standards.

The accompanying consolidated financial statements have been translated into English for the convenience of users.

Galaz, Yamazaki, Ruiz Urquiza, S. C.
Member of Deloitte Touche Tohmatsu



C. P. C. Jorge Alamillo Sotomayor

March 12, 2010.

Consolidated Balance Sheets

(In millions of Mexican pesos)

	2009	2008
Assets		
Current assets:		
Cash and cash equivalents	$ 4,981	$ 7,339
Accounts and notes receivable – net	9,605	6,874
Inventories – net	2,969	2,573
Prepaid expenses	499	431
Derivative financial instruments	177	204
Total current assets	18,231	17,421
Notes receivable from independent operators	1,940	451
Property, plant and equipment – net	32,763	26,039
Investment in shares of associated companies and other permanent investments	1,479	1,416
Deferred income taxes	635	1,417
Intangible assets – net	19,602	4,951
Goodwill	20,394	6,313
Other assets – net	1,669	498
Total	$ 96,713	$ 58,506
Liabilities and stockholders' equity		
Current liabilities:		
Notes payable to financial institutions	$ 4,656	$ 2,054
Trade accounts payable	5,341	4,881
Other accounts payable and accrued liabilities	2,798	1,499
Due to related parties	238	584
Income taxes	3,272	1,941
Statutory employee profit sharing	1,242	524
Derivative financial instruments	–	47
Total current liabilities	17,547	11,530
Long-term debt	32,084	9,079
Employee labor obligations and workers' compensation	4,644	982
Deferred statutory employee profit sharing	290	351
Deferred income taxes	266	1,257
Other liabilities	925	333
Total liabilities	55,756	23,532
Stockholders' equity:		
Capital stock	8,006	8,006
Reserve for repurchase of shares	759	759
Retained earnings	30,698	24,473
Other concepts of accumulated other comprehensive income	675	1,189
Valuation of financial instruments	(34)	(163)
Majority stockholders' equity	40,104	34,264
Noncontrolling interest in consolidated subsidiaries	853	710
Total stockholders' equity	40,957	34,974
Total	$ 96,713	$ 58,506

See accompanying notes to consolidated financial statements.

Grupo Bimbo, S. A. B. de C. V. and Subsidiaries
For the years ended December 31, 2009 and 2008

Consolidated Statements of Income

(In millions of Mexican pesos)

	2009	2008
Net sales	$ 116,353	$ 82,317
Cost of sales	54,933	40,293
Gross profit	61,420	42,024
General expenses:		
Distribution and selling	41,724	29,621
Administrative	7,642	5,075
	49,366	34,696
Income after general expenses	12,054	7,328
Other expenses, net	1,176	475
Net comprehensive financing cost:		
Interest expense, net	2,318	461
Exchange gain (loss), net	(207)	153
Monetary position gain	(99)	(75)
	2,012	539
Equity in income of associated companies	42	24
Income before income taxes	8,908	6,338
Income tax expense	2,827	1,894
Consolidated net income for the year	$ 6,081	$ 4,444
Net income of controlling stockholders	$ 5,956	$ 4,320
Net income of noncontrolling stockholders	$ 125	$ 124
Basic earnings per common share	$ 5.07	$ 3.67
Weighted average number of shares outstanding (000´s)	1,175,800	1,175,800

See accompanying notes to consolidated financial statements.

Consolidated Statements of Changes in Stockholders' Equity

(In millions of Mexican pesos)

	Capital stock	Reserve for repurchase of shares	Retained earnings
Balances, January 1, 2007	$ 8,006	$ 759	$ 27,994
Reclassification of cumulative insufficiency in restatement of stockholders' equity as of January 1, 2008	–	–	(4,625)
Reclassification of initial cumulative effect of deferred income taxes as of January 1, 2008	–	–	(2,397)
Dividends declared	–	–	(541)
Balances before comprehensive income	8,006	759	20,431
Effect of deferred statutory employee profit sharing from change in accounting method	–	–	(278)
Adjustment to additional liability from retirement benefits	–	–	–
Consolidated net income for the year	–	–	4,320
Effect of valuation of financial instruments	–	–	–
Translation effects of foreign subsidiaries	–	–	–
Comprehensive income	–	–	4,042
Balances, December 31, 2008	8,006	759	24,473
Dividends declared	–	–	(541)
Balances before comprehensive income	8,006	759	23,932
Income tax effect due to 2010 tax reform on tax consolidation	–	–	810
Consolidated net income for the year	–	–	5,956
Effect of valuation of financial instruments	–	–	–
Translation effects of foreign subsidiaries	–	–	–
Increase of capital stock on noncontrolling interest	–	–	–
Comprehensive income	–	–	6,766
Balances, December 31, 2009	**$ 8,006**	**$ 759**	**$ 30,698**

See accompanying notes to consolidated financial statements.

Other concepts of accumulated other comprehensive income (loss)	Initial cumulative effect of deferred income taxes	Valuation of financial instruments	Controlling stockholders' equity	Noncontrolling interest in consolidated subsidiaries	Total stockholders' equity
$ (6,541)	$ (2,397)	$ 95	$ 27,916	$ 581	$ 28,497
4,625	–	–	–	–	–
–	2,397	–	–	–	–
–	–	–	(541)	(74)	(615)
(1,916)	–	95	27,375	507	27,882
–	–	–	(278)	–	(278)
150	–	–	150	–	150
–	–	–	4,320	124	4,444
–	–	(258)	(258)	–	(258)
2,955	–	–	2,955	79	3,034
3,105	–	(258)	6,889	203	7,092
1,189	–	(163)	34,264	710	34,974
–	–	–	(541)	(78)	(619)
1,189	–	(163)	33,723	632	34,355
–	–	–	810	–	810
–	–	–	5,956	125	6,081
–	–	129	129	–	129
(514)	–	–	(514)	(3)	(517)
–	–	–	–	99	99
(514)	–	129	6,381	221	6,602
$ 675	**$ –**	**$ (34)**	**$ 40,104**	**$ 853**	**$ 40,957**

Consolidated Statements of Cash Flows

(In millions of Mexican pesos)

	2009	2008
Operating activities:		
Income before income taxes	$ 8,908	$ 6,338
Items related to investing activities:		
Depreciation and amortization	3,783	2,501
Loss on sale of property, plant and equipment	183	101
Equity in income of associated companies	(42)	(24)
Impairment of long live assets	56	–
Items related to financing activities:		
Interest expense	3,269	814
Interest income	(76)	(63)
Unrealized exchange loss on long-term debt	198	1,527
Changes in current assets and liabilities:		
Accounts and notes receivable	(188)	(1,574)
Inventories	39	(628)
Prepaid expenses	(68)	173
Trade accounts payable	(361)	726
Other accounts payable and accrued liabilities	(1,302)	1,050
Due to related parties	134	114
Income tax payable	(2,350)	(2,266)
Derivative financial instruments	401	(255)
Statutory employee profit sharing	657	44
Employee labor obligations and workers' compensation	671	272
Net cash flow from operating activities	13,912	8,850
Investing activities:		
Acquisition of property, plant and equipment	(3,613)	(3,989)
Proceeds from sale of property, plant and equipment	457	160
Acquisition of trademarks and other assets	(83)	(416)
Dividends received	10	4
Investments in shares of associated companies	(29)	(239)
Acquisition of business net of cash received	(35,140)	(2,743)
Interest received	–	63
Net cash flow from investing activities	(38,398)	(7,160)
Excess cash to apply to financing activities	(24,486)	1,690

	2009	2008
Financing activities:		
Proceeds from long-term debt	42,397	5,852
Payment of long-term debt	(16,262)	(2,605)
Interest paid	(3,205)	(830)
Payments of interest rate swaps	(246)	(68)
Dividends paid	(541)	(615)
Net cash flow from financing activities	22,143	1,734
Adjustments to cash flows due to exchange rate fluctuations	(30)	20
Adjustments to cash flows due to inflationary effects	15	(7)
Adjustments due to variations in exchange rates and inflationary effects	(15)	13
Net (decrease) increase in cash and cash equivalents	(2,358)	3,437
Cash and cash equivalents at the beginning of the year	7,339	3,902
Cash and cash equivalents at the end of the year	4,981	$ 7,339

See accompanying notes to consolidated financial statements.

Notes to Consolidated Financial Statements

(In millions of Mexican pesos)

1. THE COMPANY

Grupo Bimbo, S. A. B. de C. V. and subsidiaries ("Grupo Bimbo" or the "Company") are engaged in the manufacture, distribution and sale of bread, cookies, cakes, candies, chocolates, snacks, tortillas and processed foods.

The Company operates in the following geographical areas: Mexico, the United States of America ("USA"), Central and South America ("OLA"), Europe and China. Due to its insignificance, the financial information of the European and Chinese regions is aggregated with Mexico.

In 2009, a very significant business acquisition was made and is detailed in Note 2.

2. BASIS OF PRESENTATION

a. **Explanation for translation into English -** The accompanying consolidated financial statements have been translated from Spanish into English for use outside of Mexico. These consolidated financial statements are presented on the basis of Mexican Financial Reporting Standards ("MFRS"). Certain accounting practices applied by the Company that conform with MFRS may not conform with accounting principles generally accepted in the country of use.

b. **Monetary unit of the financial statements -** The financial statements and notes as of December 31, 2009 and 2008 and for the years then ended include balances and transactions denominated in Mexican pesos of different purchasing power.

c. **Consolidation of financial statements -** At December 31, 2009 and 2008, the consolidated financial statements include those of Grupo Bimbo, S. A. B. de C. V. and its subsidiaries, of which some of the more significant are shown below:

Subsidiary	Ownership percentage	Principal Business
Bimbo, S. A. de C. V.	97	Bakery
Bimbo Bakeries USA, Inc. ("BBU")	100	Bakery
Barcel, S. A. de C. V.	97	Candies and snacks
Bimbo do Brasil, Ltda.	100	Bakery
Bimbo Venezuela, C.A.	100	Bakery
Ideal, S. A. (Chile)	100	Bakery
Gastronomía Avanzada Pastelerías, S. A. de C. V. ("El Globo")	100	Bakery and cakes

All significant intercompany balances and transactions have been eliminated in these consolidated financial statements.

The Company's investment in shares of associated companies is valued by the equity method or historical costs, depending on the shareholding percentage. Associated companies are not consolidated in these financial statements as the Company does not have control over such entities.

During 2009 and 2008, net sales of Bimbo, S. A. de C. V. and Barcel, S. A. de C. V. in Mexico represented approximately 45% and 63%, respectively, of consolidated net sales.

d. **Acquisitions -** During 2009 and 2008, the Company acquired the following businesses:

Company	Country	Acquisition cost	Date
2009:			
Bimbo Foods, Inc. (Before Weston Foods, Inc. (WFI))	USA	$ 35,014	January 21
Acquisitions of other businesses and trademarks	Various	188	Several
		$ 35,202	

Company	Country	Acquisition cost	Date
2008:			
Acquisitions of businesses and trademarks	Brazil	$ 1,967	Several
Assets and trademarks	Mexico	256	May 1
Business acquisition	Honduras	227	March 25
Business acquisition	Uruguay	123	April 2
		$ 2,573	

Acquisition of Bimbo Foods, Inc.

On December 10, 2008, Grupo Bimbo entered into an agreement with Dunedin Holdings, S.A.R.L, Glendock Finance Company, and other legal entities, all subsidiaries of George Weston Limited, in which Grupo Bimbo agreed to acquire the common shares of WFI, as well as other assets, including trademarks and trade receivables related to the operations of WFI, which is a group of companies engaged in the production and distribution of bread in the eastern United States of America. The contract was settled on January 21, 2009, after complying with certain requirements included therein.

This transaction is aligned with Grupo Bimbo's growth strategy to consolidate its global platform and its vision of becoming a global leader in the bakery segment and a relevant company in the food global segment. Goodwill generated by the acquisition, which has no income tax effects, amounted to $13,775 and is attributable to synergies that are expected to be obtained by combining WFI with Grupo Bimbo's existing business in the United States of America ("USA").

The agreement establishes certain indemnifications for both the buyer and the seller. Among those are a net working capital adjustment final settlement paid by the buyer to the seller for $380 and an indemnification from the seller to the buyer for $519 if certain contingencies materialize.

The purchase price of the shares and certain assets of WFI amounted to US$2,505 million.

Sources of Financing

For this acquisition, the Company obtained financing in the amount of US$2,300 million that was structured with a one-year bridge loan for the equivalent of US$600 million that was paid in June 2009 with the proceeds the issuance of local bonds on the Mexican Stock Exchange, and a long-term loan for the equivalent of US$1,700 million, comprised of US$900 and US$800 million that mature in three and five years, respectively (see Note 10, Longterm debt). The remainder of the purchase price of US$205 million was paid with available funds.

The various contracts that formally document the financing include certain limitations on the incurrence of additional liabilities and other financial restrictions; additionally, the repayment obligations of Grupo Bimbo under such contracts are secured by the pledge of certain of its subsidiaries.

Accounting for the Transaction

The acquisition was recorded in conformity with Financial Reporting Standard NIF B-7, *Business Acquisitions*. Fair value determination of net assets acquired was concluded as of December 31, 2009. The following table presents condensed information of the assets acquired and liabilities assumed recognized by the purchase made on January 21, 2009 at the exchange rate applicable at the transaction date:

Purchase price		$ 35,014
Amounts recognized for identifiable assets and liabilities assumed		
Accounts receivable	2,987	
Inventories	433	
Property, plant and equipment, net	7,823	
Deferred income taxes	752	
Identified intangible assets	15,932	
Other assets	2,415	
Total identifiable assets		30,342
Goodwill		14,570
		44,912
Current liabilities	4,283	
Deferred income taxes (long-term)	1,217	
Long-term liabilities	4,398	
Total liabilities		9,898
Acquired assets, net		$ 35,014

The following table presents condensed information of Bimbo Foods, Inc. transaction for the year ended December 31, 2009 compared to the consolidated information. Since the acquisition was made on a date near the beginning of the year, the proportion of BFI figures shown below are similar to the annual figures that the Company represents:

December 31, 2009		
	Consolidated	Bimbo Foods, Inc.
Net sales	$ 116,353	$ 28,424
Income after general expenses	$ 12,054	$ 3,447
Net income of controlling stockholders	$ 5,956	$ 2,462
Depreciation and amortization	$ 3,783	$ 972
Income after general expenses, plus depreciation and amortization ("EBITDA")	$ 15,837	$ 4,419
Total assets	$ 96,713	$ 44,337
Total liabilities	$ 55,756	$ 17,648

Management of the Company engaged independent specialists to assist with the identification of intangible assets with finite and indefinite lives, as well as to determine the useful lives and fair values of acquired assets, considering the valuation rules of MFRS.

The goodwill generated in 2009 and 2008 resulting from these acquisitions amounted to $13,775 and $1,634, respectively.

e. Translation of financial statements of foreign subsidiaries - To consolidate the financial statements of foreign subsidiaries (located principally in the USA and other Latin American countries, which represent 55% and 35% of consolidated net sales and 65% and 37% of consolidated total assets in 2009 and 2008, respectively), the accounting policies of the foreign entities are converted to MFRS using the currency in which transactions are recorded, except for the application of NIF B-10, when the foreign entity operates in an inflationary environment, for which those reported figures are adjusted by inflation to currency of purchasing power of yearend, and then translated into pesos by using yearend exchange rate. The financial statements are subsequently translated to Mexican pesos considering the following methodologies:

Foreign operations that operate in a noninflationary environment translate their financial statements using the following exchange rates: 1) the closing exchange rate in effect at the balance sheet day for assets and liabilities; and 2) historical exchange rates for stockholders' equity, revenues, costs and expenses. Through 2007, the financial statements of all foreign subsidiaries that operated independently of the Company in terms of finances and operations recognized the effects of inflation of the country in which they operate and were then translated to Mexican pesos using the closing exchange rate in effect at the balance sheet date. In both 2009 and 2008, translation effects are recorded in stockholders' equity.

Foreign operations that operate in an inflationary environment first restate their financial statements in currency of purchasing power as of the date of the balance sheet, using the price index of their country, and subsequently translate those amounts to Mexican pesos using the closing exchange rate in effect at the balance sheet date for all items. In both 2009 and 2008, translation effects are recorded in stockholders' equity.

The Company's risk management policy regarding exchange risks consists of hedging expected cash flows, principally those associated with future purchases of raw materials, which meet the requirements to be considered exposures associated to "highly probable" forecasted transactions for purposes of hedge accounting.

The Company has certain permanent investments in foreign subsidiaries whose functional currency is other than the Company's and, therefore, the net investment is exposed to the risk derived from changes in exchange rates. Hedging the exposure to this foreign currency translation risk is mitigated by designating one or more loans denominated in these non-functional currencies as exchange rate hedges, according to the hedge accounting model for net investments in foreign subsidiaries.

f. Comprehensive income (loss) and other comprehensive income (loss) - Comprehensive income (loss) presented in the accompanying statement of changes in stockholders' equity represents the changes in stockholders' equity during the year for items that are not distributions or movements of contributed capital and includes consolidated net income for the year plus other items that represent a gain or loss for the same period, which, in conformity with MFRS, are recorded directly in stockholders' equity without affecting the results of operations. The items of other comprehensive income (loss) consist of the unrealized accrued effects of derivative instruments and the translation and restatement effects of foreign subsidiaries and in 2009 only, the impact of tax effects related to the tax reform applicable to tax consolidation, plus in 2008 the cumulative effects of deferred employee profit sharing due to a change in accounting method and for the cancelation of the additional liability from retirement benefits. When assets and liabilities included in other comprehensive income are realized, those amounts are recorded in income.

g. Classification of costs and expenses - Costs and expenses presented in the consolidated statements of income were classified according to their function because this is the practice of the sector to which the Company belongs.

h. Income after general expenses - Income after general expenses is the result of subtracting cost of sales and general expenses from net sales. While NIF B-3, *Statement of Income,* does not require inclusion of this line item in the consolidated statements of income, it has been included for a better understanding of the Company's economic and financial performance.

i. Reclassifications - The financial statements for the year ended December 31, 2008 have been reclassified in certain items to conform its presentation used in 2009.

3. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accompanying consolidated financial statements have been prepared in conformity with MFRS, which require that management make certain estimates and use certain assumptions that affect the amounts reported in the financial statements and their related disclosures; however, actual results may differ from such estimates. The Company's management, upon applying professional judgment, considers that estimates made and assumptions used were adequate under the circumstances. The significant accounting policies of the Company are as follows:

a. Accounting changes

In 2009, the Mexican Board for Research and Development of Financial Information Standards ("CINIF") issued the following NIFs and Interpretations of Financial Reporting Standards ("INIF"), which became effective for fiscal years beginning on January 1, 2009:

NIF B-7, Business Acquisitions, requires valuation of noncontrolling interest (formerly minority interest) at fair value, as of the date of acquisition, and recognition of the total goodwill at fair value. NIF B-7 also establishes that transaction expenses should not form part of the purchase consideration and restructuring expenses should not be recognized as an assumed liability. Through December 31, 2008, the direct expenses associated with acquisitions were capitalized.

NIF B-8, Consolidated or Combined Financial Statements, establishes that special purpose entities over which the Company has control should be consolidated. It also establishes the option of presenting separate financial statements for intermediate controlling entities, provided certain requirements are met. NIF B-8 also requires consideration of potential voting rights to analyze whether control exists.

NIF C-7, Investments in Associated Companies and Other Permanent Investments, requires valuation, through the equity method, of investments in special purpose entities over which the Company has significant influence. It also requires consideration of potential voting rights to analyze whether significant influence exists. NIF C-7 establishes a specific procedure and sets a limit for the recognition of losses in associated companies, and requires that the investment in associated companies include the related goodwill.

NIF C-8, Intangible Assets, requires that any unamortized balance of preoperating costs as of December 31, 2008 be cancelled against retained earnings.

INIF 18, Recognition of the Effects of the 2010 Tax Reform on Income Taxes, establishes the accounting treatment of the items included in the decree published in the Federal Official Register and amends, complements and supersedes various tax regulations (2010 Tax Reform), which goes into effect on January 1, 2010. The scope of this interpretation is focused on the treatment of the following significant relevant topics:

a. Income tax derived from changes in the tax consolidation rules. The 2010 Tax Reform establishes that the income tax consolidation benefits obtained since 1999 must be repaid in installments during the sixth to tenth years subsequent to that in which such benefits were received.

b. Changes in the income tax rate. The 2010 Tax Reform establishes that such rate will be: for fiscal years 2010 to 2012: 30%; for fiscal year 2013: 29%; and for fiscal years 2014 and later: 28%.

c. Business flat tax ("IETU") credits for tax losses. The 2010 Tax Reform eliminates the possibility of compensating unamortized IETU tax loss credits against its own income tax.

b. Recognition of the effects of inflation - For the three fiscal years ended December 31, 2008 and 2007, the cumulative inflation in Mexico and in most of the countries in which the Company operates was less than 26%, so the economic environments are considered non-inflationary under MFRS. Accordingly, effective January 1, 2008, the Company discontinued recognition of the effects of inflation in its financial statements, except for those foreign entities operating in inflationary economic environments; however, assets, liabilities and stockholders' equity as of December 31, 2009 and 2008, include the restatement effects recognized through December 31, 2007 for all entities.

The cumulative inflation for the three fiscal years ended December 31, 2008 and 2007, for those foreign entities operating in inflationary economic environments was as follows:

	2009	2008
Argentina	28%	34%
Costa Rica	38%	38%
Guatemala	26%	N/A
Honduras	27%	N/A
Nicaragua	49%	43%
Paraguay	28%	31%
Uruguay	26%	N/A
Venezuela	87%	64%

N/A = cumulative three-year inflation of less than 26%.

Through December 31, 2007 for all entities and in 2009 and 2008 only for those foreign entities operating in inflationary economic environments, recognition of the effects of inflation results mainly in inflationary gains or losses on nonmonetary and monetary items that are presented in the consolidated financial statements under the following two line items:

- *Insufficiency in restated stockholders´ equity* - Represents the accumulated monetary position result through the initial restatement of the consolidated financial statements and the loss from holding nonmonetary assets which resulted from restating certain nonmonetary assets below inflation utilizing appraisal values.

- *Monetary position result* - Monetary position result, which represents the erosion of purchasing power of monetary items caused by inflation, is calculated by applying National Consumer Price Index (NCPI) factors to monthly net monetary position. Gains result from maintaining a net monetary liability position, respectively.

On January 1, 2008, the Company reclassified the total amount of the insufficiency in restatement of stockholders' equity to retained earnings, since it was considered impractical to determine the result from holding nonmonetary assets corresponding to unrealizable assets as of that date.

c. Cash and cash equivalents - Cash and cash equivalents consist mainly of bank deposits in checking accounts and readily available daily investments of cash surpluses. Cash and cash equivalents are stated at nominal value plus accrued yields, which are recognized in Comprehensive Financing Cost (CFC) as they accrue. Cash equivalents are primarily represented by investments in Mexican Treasury Certificates and investment funds.

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d. Inventories and cost of sales - Inventories are stated at the lower of average cost or realizable value for those entities operating in noninflationary economic environments. Beginning January 1, 2008 date for those foreign entities operating in inflationary economic environments, inventories are stated at average cost which is similar to their replacement value at year end, without exciding net realizable value, and cost of sales is stated at latest production cost which is similar to replacement cost at the time goods are sold.

e. Property, plant and equipment - Property, plant and equipment are recorded at acquisition cost for those entities operating in noninflationary economic environments. Balances from acquisitions made through December 31, 2007 for all entities were restated for the effects of inflation by applying factors derived from the NCPI through that date. Balances that arise from subsidiaries operating in an inflationary environment, continue to restate its balances by applying NCPI. Depreciation rates are calculated using the straight-line method based on the remaining useful lives of the related assets, as follows:

Buildings	5
Manufacturing equipment	8,10 and 35
Vehicles	10 and 25
Office furniture and fixtures	10
Computers	30

f. Investment in shares of associated companies and other permanent investments - Beginning in 2009, permanent investments in entities where significant influence exists are initially recognized based on the net fair value of the entities' identifiable assets and liabilities as of the date of acquisition. Such value is subsequently adjusted for the portion related both to comprehensive income (loss) of the associated company and the distribution of earnings or capital reimbursements thereof. When the fair value of the consideration paid is greater than the value of the investment in the associated company, the difference represents goodwill, which is presented as part of the same investment. Otherwise, the value of the investment is adjusted to the fair value of the consideration paid. Through December 31, 2008, investment in shares of associated companies is valued only according to the equity method. If impairment indicators are present, investment in shares of associated companies is subject to impairment testing.

Permanent investments made by the Company in entities where it has no control, joint control, or significant influence, are initially recorded at acquisition cost, and any dividends received are recognized in current earnings, except when they are taken from earnings of periods prior to the acquisition, in which case, they are deducted from the permanent investment.

g. Impairment of long-lived assets in use - The Company reviews the carrying amounts of long-lived assets in use when an impairment indicator suggests that such amounts might not be recoverable, considering the greater of the present value of future net cash flows or the net sales price upon disposal. Impairment is recorded when the carrying amounts exceed the greater of the amounts mentioned above. The impairment indicators considered for these purposes are, among others, the operating losses or negative cash flows in the period if they are combined with a history or projection of losses, depreciation and amortization charged to results, which in percentage terms in relation to revenues are substantially higher than that of previous years, obsolescence, reduction in the demand for the products manufactured, competition and other legal and economic factors. As of December 31, 2009 an impairment was recognized in the Czech Republic subsidiary for $56. This subsidiary was sold in January 2010 at a not material amount.

h. Financial risk management policy - The daily activities carried out by the Company expose it to a number of inherent risks of different variables of a financial nature, as well as variations in the price of some materials traded in formal international markets. Due to above, the Company uses derivative financial instruments to mitigate the potential impact of fluctuations in such variables and prices on its financial results. The Company believes that these instruments provide flexibility that allows greater stability of income and better visibility and certainty with regard to costs and expenses that will be faced in the future.

The design and implementation of the strategy of derivative financial instruments is formally supervised by two committees: 1) The Financial Risk Committee, responsible for risk managing of interest and exchange rates and 2) the Subcommittee of Risk Commodity Markets, that supervises commodity risk. Both committees continuously report their activities to the Corporate Business Risk Committee, who is responsible for issuing general guidelines for the risk management strategy of the Company, and for establishing limits and restrictions on the operations they can perform. Likewise, the Corporate Business Risk Committee reports the risk positions of the Company to the Audit and Executive Committees of the Board of Directors.

The Company's policy is to enter into derivative financial instruments only for hedging purposes. Therefore, entering into a contract of a derivative financial instrument must necessarily be associated with a primary position that represents some risk. Consequently, the notional amounts of one or all derivative financial instruments contracted for hedge coverage of certain risk will be consistent with the amounts of the primary positions that represent a risk position.

The Company has no operations in which the desired purpose are benefits intended on premium income. If the Company decides to undertake a hedging strategy where options are combined, the net payment of premiums associated must represent an expense for the Company.

i. Derivative financial instruments - The Company states all derivatives at fair value in the balance sheet, regardless of the purpose for holding them. Fair value is determined using prices quoted on recognized markets. If such instruments are not traded, fair value is determined by applying recognized valuation techniques.

Changes in the fair value of derivative instruments designated as hedges are recognized as follows; (1) for fair value hedges, changes in both the derivative instrument and the hedged item are recognized in current earnings; (2) for cash flow hedges, changes are temporarily recognized as a component of other comprehensive income and then reclassified to current earnings when affected by the hedged item; (3) for hedges of an investment in a foreign subsidiary, the effective portion is recognized as a component of other comprehensive income as part of the cumulative translation adjustment. The ineffective portion of the gain or loss on the hedging instrument is recognized in current earnings, if it is a derivative financial instrument. If not, it is recognized as a component of other comprehensive income until the investment is sold or transferred.

To manage its exposure to interest rate and foreign currency fluctuations, the Company principally uses interest rate swaps and foreign currency forward contracts, as well as futures to fix the purchase price of raw materials. The Company formally documents all hedging relationships, including their objectives and risk management strategies to carry out derivative transactions. Derivative trading is performed only with institutions of recognized solvency, and limits have been established for each institution.

The hedging derivative instruments are recorded as assets or liabilities without offsetting them against the hedged items.

j. Goodwill - Goodwill is recorded at acquisition cost, except for those entities operating in inflationary economic environments, where it is restated using the NCPI. Goodwill is not amortized and, at least once a year, is subject to impairment tests.

k. Intangible assets - These are primarily comprised of trademarks, rights of use and customer relationships and are recorded at acquisition cost, except for those entities operating in inflationary economic environments, where they are restated using the NCPI. They are derived mainly from the acquisition of the business in the United States of America and certain trademarks in South America. Trademarks and rights of use are not amortized; however, the carrying values are subject to impairment tests at least annually.

Customer relationships have an estimated useful life of 18 years and are amortized on a straight-line basis based on such useful life. As of December 31, 2009, the amortization both cumulative and for the year recorded for intangible assets with finite lives was $257.

l. Provisions - Provisions are recognized when there is a present obligation as the result of a past event that is likely to result in the use of economic resources and that can be reliably estimated.

g. Direct employee benefits - Direct employee benefits are calculated based on the services rendered by employees, considering their current salaries. The liability is recognized as it accrues. These benefits include mainly accrued statutory employee profit sharing, compensated absences, such as vacation and vacation premiums, and incentives and are presented in other accounts payable and accrued liabilities caption.

n. Employee benefits from termination, retirement and other - The liability for seniority premiums, pensions and termination benefits is recorded as accrued and is calculated by independent actuaries using the projected unit credit method using nominal interest rates.

Other employee benefits relate to the insurable risks such as automobile self-insurance in the USA, general liability insurance, automobile insurance and other employee compensation subject to program specified limits. The liability for such program is determined using the Company's historical data according to actuarial calculations.

o. Statutory employee profit sharing - Statutory employee profit sharing ("PTU") is recorded in the results of the year in which it is incurred and presented under other expenses in the accompanying consolidated statements of income. Deferred PTU is derived from temporary differences that in 2009 resulted from comparing the accounting and tax basis of assets and liabilities.

p. Income taxes - Income taxes ("ISR") and the Business Flat Tax ("IETU") are recorded in the results of the year in which they are incurred. To recognize deferred income taxes, based on its financial projections, the Company determines whether it expects to incur ISR or IETU and accordingly recognizes deferred taxes based on the tax it expects to pay. Deferred taxes are calculated by applying the corresponding tax rate to the applicable temporary differences resulting from comparing the accounting and tax bases of assets and liabilities and including, if any, future benefits from tax loss carryforwards and certain tax credits. Deferred tax assets are recorded only when there is a high probability of recovery. According to NIF D-4, *Income Taxes*, the balance of the initial cumulative effect of deferred income taxes was reclassified to retained earnings (accumulated deficit) as of January 1, 2008.

q. Tax on assets - The tax on assets ("IMPAC") that is expected to be recovered is recorded as a tax credit and is presented in the balance sheet under deferred taxes.

r. Foreign currency transactions - Foreign currency transactions are recorded at the applicable exchange rate in effect at the transaction date. Monetary assets and liabilities denominated in foreign currency are translated into Mexican pesos at the applicable exchange rate in effect at the balance sheet date. Exchange fluctuations are recorded as a component of results of the period, except for those transactions that have been designated as a hedge of a foreign investment.

s. Revenue recognition - Revenues are recognized in the period in which the risks and rewards of the products are transferred to the customers who purchased them, which generally occurs when these products are delivered to the customer. The Company deducts certain marketing expenses, such as promotion expenses, from sales.

t. Earnings per share - Basic earnings per share is calculated by dividing consolidated net majority income by the weighted average number of shares outstanding during the year.

4. ACCOUNTS AND NOTES RECEIVABLE

	2009	2008
Customers and agencies	$ 7,059	$ 5,139
Allowance for doubtful accounts	(290)	(130)
	6,769	5,009
Notes receivable	513	137
Value-added tax and other recoverable taxes	–	180
Sundry debtors	1,002	807
Bismark Acquisition, L. L. C., related party	–	306
Sanalp 2005, S. L., related party	1,178	432
Madera, L. L. C., related party	143	–
Officers and employees	–	3
	$ 9,605	$ 6,874

5. INVENTORIES

	2009	2008
Finished products	$ 768	$ 817
Orders in-process	75	111
Raw materials, containers and wrapping	1,725	1,303
Other	102	84
Allowance for slow-moving inventories	(3)	(3)
	2,667	2,312
Advances to suppliers	41	144
Raw materials in-transit	261	117
	$ 2,969	$ 2,573

6. LONG-TERM NOTES RECEIVABLE FROM INDEPENDENT OPERATORS

The Company has sold certain equipments and distribution rights in the USA to former employees and some third parties (collectively, the "independent operators").

The Company finances 90% of the sales price paid by certain independent operators. The notes bear an annual interest rate range from 9.75% to 10.75% and are payable in 120 monthly installments.

7. PROPERTY, PLANT AND EQUIPMENT

	2009	2008
Buildings	$ 12,893	$ 9,279
Manufacturing equipment	28,915	23,615
Vehicles	8,070	8,488
Office furniture and fixtures	593	496
Computers	1,815	1,720
	52,286	43,598
Less- Accumulated depreciation	(23,411)	(21,247)
	28,875	22,351
Land	2,717	2,526
Construction in-progress and machinery in-transit	1,171	1,162
	$ 32,763	$ 26,039

8. INVESTMENT IN SHARES OF ASSOCIATED COMPANIES AND OTHER PERMANENT INVESTMENTS

At December 31, 2009 and 2008, the investment in shares of associated companies and other is as follows:

Associated companies	% ownership	2009	2008
Beta San Miguel, S. A. de C. V.	8	$ 327	$ 292
Bismark Acquisition, L.L.C.	30	–	17
Congelación y Almacenaje del Centro, S. A. de C. V.	15	79	78
Fábricas de Galletas La Moderna, S. A. de C. V.	50	261	255
Fin Común, S. A. de C. V.	30	71	55
Grupo Altex, S. A. de C. V.	11	70	104
Grupo La Moderna, S. A. de C. V.	3	140	122
Innovación en Alimentos, S. A. de C. V.	50	25	(13)
Mundo Dulce, S. A. de C. V.	50	320	340
Ovoplus, S. A. de C. V.	25	54	50
Pierre, L.L.C.	30	15	15
Productos Rich, S. A. de C. V.	18	72	63
Others	Various	45	38
		$ 1,479	$ 1,416

9. INTANGIBLE ASSETS

The following is an analysis of the balance of intangible assets by geographical area:

	2009	2008
Mexico	$ 1,039	$ 913
United States of America	17,532	3,067
Central and South America	1,031	971
	$ 19,602	$ 4,951

At December 31, 2009 and 2008, the breakdown of intangible assets is as follows:

	Average life	2009	2008
Trademarks	Undefined	$ 15,533	$ 4,937
Rights of use	Undefined	38	14
		15,571	4,951
Customer relationships	18 years	4,009	$ –
Licensing agreements and software	8 and 2 years	261	–
Non-compete agreements	5 years	18	–
		4,288	–
Accumulated amortization		(257)	–
		4,031	–
		$ 19,602	$ 4,951

During 2009 and 2008, the changes in trademarks were as follows:

	2009	2008
Balance as of January 1	$ 4,937	$ 3,477
Acquisitions	10,668	865
Disposals	(6)	–
Reclassifications	(175)	–
Adjustments do to variations in exchange rates	109	595
Balance as of December 31	$ 15,533	$ 4,937

10. GOODWILL

The following is an analysis of the balance of goodwill by geographical area:

	2009	2008
Mexico	$ 753	$ 715
United States of America	17,871	4,253
Central and South America	1,770	1,345
	$ 20,394	$ 6,313

During 2009 and 2008, the changes on goodwill were as follows:

	2009	2008
Balance as of January 1	$ 6,313	$ 3,890
Acquisitions	13,775	1,638
Reclassifications	175	–
Adjustments do to variations in exchange rates	131	785
Balance as of December 31	$ 20,394	$ 6,313

11. LONG-TERM DEBT

	2009	2008
Committed Revolving (Multi-currency) Line-of-Credit – On July 20, 2005, the Company entered into an agreement to amend its committed revolving line-of-credit dated May 21, 2004 with an original amount of US$250 million maturing in May 2008. The new amount of the line is US$600 million, of which 50% is available in Mexican pesos. To date six financial institutions participate in the line. The term of the line is five years, maturing in July 2010. On November 24, 2009, the Company prepaid US$300 million, resulting in a balance of US$300 million and US$600 million as of December 31, 2009 and 2008, respectively. The financial terms applicable are as follows: For US dollar borrowings, the Company must pay LIBOR plus 0.40% until the third anniversary and LIBOR plus 0.45% during the remaining term, while in case of Mexican peso borrowings, the Company must pay the TIIE rate plus 0.35% until the third anniversary and TIIE rate plus 0.40% thereafter until maturity. Weighted average rates on this credit line for the years ended December 31, 2009 and 2008 were 0.7000% and 2.0490%, respectively.	$ 3,918	$ 8,123
Local bonds – During 2009 the Company issued local bonds (payable upon maturity) to refinance short-term liabilities contracted early in 2009 to acquire BFI. As of December 31, 2009, such bonds and those from prior years are structured as follows:		
- Bimbo 09- Issued June 15, 2009, maturing in June 2014, with interest at the TIIE 28-day rate plus 1.55%.	5,000	–
- Bimbo 09-2- Issued June 15, 2009, maturing in June 2016, with a fixed interest rate of 10.60%.	2,000	–
- Bimbo 09U- Issued June 15, 2009 in the amount of 706,302,200 Investment Units (UDIS), maturing in June 2016, with a fixed interest rate of 6.05%. The UDI value at December 31, 2009 is $4.3401 per UDI.	3,066	–
- Bimbo 02-2-Issued in May 17, 2002, maturing in May 2012, with a fixed interest rate of 10.15%.	750	750
- Bimbo 02-3-Issued in August 2, 2002, maturing in August 2009, with a fixed interest rate at 11%. The Company paid this amount in August 3, 2009.	–	1,150
Bank loan - On January 15, 2009, the Company contracted a long-term bank loan in the amount of the equivalent of US$1,700 million, in which BBVA Bancomer S.A. Institución de Banca Múltiple, Grupo Financiero BBVA Bancomer as lead agent, and a bank syndicate to date comprised of 15 institutions participate. The loan consists of two tranches, the first maturing in January 2012 (Tranche A) and the second with semiannual maturities from July 2012 to January 2014 (Tranche B). As of December 31, 2009, 40% of Tranche A and 67% of Tranche B are denominated in Mexican pesos. For Tranche A Grupo Bimbo must pay interest at LIBOR/TIIE plus 2.75%, while for Tranche B it must pay interest at LIBOR/TIIE plus 3.25%. All proceeds obtained from this financing, plus those obtained from the multicurrency bridge loan, were used by Grupo Bimbo to partially pay for the acquisition of BFI. On June 26, 2009, the Company prepaid the equivalent of US$135 million of Tranche A.	21,250	–
Other - Certain subsidiaries have contracted other direct loans maturing from 2009 to 2012, at various interest rates.	756	1,110
	36,740	11,133
Less - Current portion of long-term debt	(4,656)	(2,054)
Long-term debt	$ 32,084	$ 9,079

At December 31, 2009, long-term debt matures as follows:

2011	$ 15
2012	13,804
2013	5,467
2014	7,732
2016	5,066
	$ 32,084

The loan agreements establish certain covenants and also require that the Company maintain determined financial ratios based on consolidated financial statements. At December 31, 2009 and 2008, the Company has complied with all the obligations established in the loan agreements.

12. DERIVATIVE FINANCIAL INSTRUMENTS

Were comprised as follows:

	2009	2008
Assets		
Swaps	$ 68	$ –
Forwards	2	–
Future contracts		
Fair value of wheat and soybean oil	(30)	2
Fair value of natural gas and diesel	57	–
Forwards and options	11	108
Total value of financial instruments	108	110
Warranty account	69	94
Total assets	$ 177	$ 204
Liabilities		
Swaps	$ –	$ 47
Total liabilities	$ –	$ 47
Total value of financial instruments of cash flows	$ 108	$ 110
Closed contracts for unused futures	(149)	(314)
	(41)	(204)
Differed ISR	7	41
Total stockholders' equity	$ (34)	$ (163)

Interest rate hedges - The Company entered into interest rate swaps to modify its debt profile in Mexico. The derivatives were designated as cash flow hedges and since their inception were assumed to have no ineffectiveness.

Derivative instruments as of December 31, 2009 are as follows:

With respect to the first draw on the revolving line of credit in the amount of US$125, on July 23, 2008 the Company entered into a two-year swap to convert the variable interest rate to a fixed rate of 3.82%.

In connection with the issuance of the Bimbo 09-2 local bonds, on June 26, 2009 the Company entered into an interest rate swap for $2,000 that converts the variable rate to a fixed rate of 7.43% effective July 13, 2009.

In connection with the issuance of the Bimbo 09U local bonds, between June 10 and 24, 2009, the Company entered into two foreign currency swaps for $1,000 and $2,000 that together cover the entire Bimbo 09 issue and convert the debt from UDIs to Mexican pesos at a fix rate of 10.54% and 10.60%, respectively.

To cover the interest rate risk on the dollar portion of Tranche A of the Bank Loan, between May 27 and 29, 2009, the Company entered into three swaps that total US$300 million and fix the one-month Libor at an average of 1.64%.

To cover the interest rate risk on the dollar portion of Tranche B of the Bank Loan, on May 27, 2009, the Company entered into a swap for US$150 million that fixes the one-month Libor rate at 2.33%.

To cover the interest rate risk on the Mexican peso portion of Tranche A of the Bank Loan, on June 5, 2009, the Company entered into a swap for $1,500 that fixes the 28-day TIIE rate at 6.51%.

To cover the interest rate risk on the Mexican peso portion of Tranche B of the Bank Loan, on June 5, 2009, the Company entered into a swap for $1,500 that fixes the 28-day TIIE rate at 7.01%.

As of December 31, 2009, the operating characteristics and the fair value of the above hedging instruments were as follows:

Amounts as of December 31, 2009					
Date of Commencement	Maturity	Notional Amount	Interest rate Floating (collected)	Interest rate Fixed (paid)	Fair Value
Swaps that fix the revolving credit line rate in U.S. dollars					
July 23, 2008	July 23, 2010	125 (*)	3.82%	0.73%	$ (37)
Swaps that modify local bond rates					
June 26, 2009	June 9, 2014	$ 2,000	7.43%	4.95%	(8)
June 10, 2009	June 6, 2016	$ 1,000	10.54%	6.05%	55
June 24, 2009	June 6, 2016	$ 2,000	10.60%	6.05%	104
Swaps that fix the rate of the long-term credit line in U.S. dollars					
May 27, 2009	January 13, 2012	100 (*)	1.63%	0.23%	(6)
May 29, 2009	January 13, 2012	100 (*)	1.66%	0.23%	(7)
May 29, 2009	January 13, 2012	100 (*)	1.63%	0.23%	(6)
May 27, 2008	January 15, 2014	150 (*)	2.33%	0.23%	(10)
Swaps that fix the rate of the long-term credit line in Mexican pesos					
June 5, 2009	January 13, 2012	$ 1,500	6.51%	4.87%	(8)
June 5, 2009	January 15, 2014	$ 1,500	7.01%	4.87%	(9)
					$ 68

(*) Amounts in millions of US dollars

As of December 31, 2008, derivative financial instruments were as follows:

With respect to the revolving line of credit in the amount of US$475, on August 5, 2008 the Company entered into a US$50 million interest and exchange rate swap that was to expire in February 2009. The Company decided to early terminate the swap on October 22, 2008, which resulted in a gain of $143 that is included in CFC.

With respect to the issuance of local bonds Bimbo 02-2 for $750, on May 8, 2008 the Company entered into a one-year swap to convert the fixed interest rate of 10.15% to a variable rate of the 28-day TIIE plus 2.43%. Such swap expired in May 2009.

As of December 31, 2008, the characteristics of these hedging instruments and their fair value at the contract date were as follows:

Amounts as of December 31, 2008					
Date of Commencement	Maturity	Notional Amount	Interest rate Floating (collected)	Interest rate Fixed (paid)	Fair Value
Swaps that fix the revolving credit line rate					
July 23, 2008	July 23, 2010	125 (*)	4.28%	3.82%	$ (51)
Swaps that modify local bond rates					
May 8, 2008	May 8, 2009	$ 750	11.22%	10.15%	4
					$ (47)

(*) Amounts in millions of US dollars

Cross currency "Forwards" - As of December 31, 2009, the Company had contracted forwards to hedge the cash flows of operating and financial liabilities denominated in foreign currency. These instruments cover a notional amount of 25.3 million Euros that fix the exchange rate for the purchase of foreign currency at an average of $18.6680 Mexican pesos per Euro.

As of December 31, 2008 the Company had entered into forwards to hedge the cash flows related to foreign currency denominated operating and/ or financing liabilities. These instruments cover a notional amount of US$100 million and fixes the buying exchange rate at $13.6350 Mexican pesos per U.S. dollar.

Hedges of wheat, natural gas prices and other commodities - The Company enters into wheat, natural gas and other commodities futures contracts to minimize the risk of variation in international prices of both consumables. Wheat, which is the primary component of flour and is the main input used by the Company, together with natural gas are used in the manufacture of its products. The transactions are carried out in recognized commodity markets, and through their formal documentation are designated as cash flow hedges of forecasted transactions.

The other comprehensive income at December 31, 2009 and 2008 includes closed contracts that have not been transferred to cost of sales due to the fact that the wheat under these contracts has not been used for flour consumption.

As of December 31, 2009 and 2008, the contracted futures and their main characteristics were:

		Amounts as of December 31, 2009			
		Contracts			Fair
Date of Commencement	Position	Number	Maturity	Region	value
Futures contracts to fix the purchase price of wheat and soybean oil					
August through November 2009	Long	814	Between March and May 2010	Mexico	$ (11)
June through September 2009	Long	1,196	March 2010	USA	(24)
July through November 2009	Long	170	Between March and July 2010	OLA	(1)
Various (Soybean oil)	Long	135	Various	USA	6
					$ (30)
Futures contracts to fix the purchase price of natural gas and diesel					
Various (Natural gas)	Long	170	Various	Mexico	8
Various (Diesel)	Long	128	Various	USA	50
Various (Natural gas)	Long	193	Various	USA	(1)
					$ 57

		Amounts as of December 31, 2008			
		Contracts			Fair
Date of Commencement	Position	Number	Maturity	Region	value
Futures contracts to fix the purchase price of wheat					
September through November 2008	Long	1,938	Between May and December 2009	Mexico	$ (17)
September through December 2008	Long	1,040	Between March and December 2009	USA	18
September through November 2008	Long	274	Between March and September 2009	OLA	1
					$ 2

Hedges of currency "Forwards" for purchase of wheat - During 2009, the Company entered into exchange rate call options, which were designated as hedges of possible exchange rate fluctuations of the U.S. dollar, the foreign currency in which the majority of purchases of wheat flour are made. The covered purchases are from January to March of 2010.

Amounts as of December 31, 2009					
Date of Commencement	Maturity	Amount in USD	Contracted exchange rate	Amount	Fair value
August through December, 2009	Between January and March, 2010	50,000,000	Between 12.8295 and 13.2695	$ 647	$ 11

During September 2008, the Company entered into exchange rate call options, which were designated as hedges of possible exchange rate fluctuations of the U.S. dollar, the foreign currency in which the majority of purchases of wheat flour are made. The covered purchases are for April and May 2009.

Amounts as of December 31, 2008					
Date of Commencement	Maturity	Amount in USD	Contracted exchange rate	Amount	Fair value
September 2008	April and May 2009	35,000,000	Between 10.7365 and 10.9050	$ 380	$ 117

As of December 31, 2008, the exchange rate call represented a gain of $117, less premiums paid of $9 and the net of $108 is recognized as a current asset.

Embedded derivative instruments - At December 31, 2009 and 2008, the Company does not have any contracts with embedded derivatives.

13. LONG-TERM EMPLOYEE BENEFITS

Long term net projected liabilities of employee and welfare benefits plan, by geographical area, are as follows:

	2009	2008
Net projected liability in Mexico:		
Retirement	$ 745	$ 728
Termination	56	(1)
	$ 801	$ 727
Net projected liability in USA and OLA:		
Retirement	$ 2,584	$ (211)
Termination	220	–
Workers' compensation in USA	1,039	466
	$ 3,843	$ 255

a. Mexico -

The Company has a defined benefit pension and seniority premium plan; it also has a termination benefits obligations. The funding policy of the Company is make discretionary contributions. During 2009 and 2008, the Company made contributions of $200 and $0, respectively, to such plans.

Seniority premiums consist of a one-time payment of 12 days for each year worked based on the final salary, not exceeding double the minimum wage established by law for all its personnel, as stipulated in the respective employment contracts. Such benefits vest for employees with 15 or more years of service.

Employment termination benefits primarily include the estimate for settlement payments equivalent to 3 months of salary per year of service worked, which are paid to all workers that cause involuntary leave.

The related liability and annual benefits costs are calculated by an independent actuary in conformity with the bases defined in the plans, using the projected unit credit method.

The following table presents the amounts recognized for the pension, seniority and termination premium plans, as well as the status of the fund shown in the balance sheet at December 31, 2009 and 2008:

	2009	2008
Vested benefit obligation	$ 514	$ 479
Defined benefit obligation	5,504	5,069
Less- Plan assets (fund in trust)	4,360	3,753
Unfunded status	1,144	1,316
Items to be amortized:		
Actuarial gain	(451)	(726)
Transition liability	19	25
Past service costs and changes to the plan	115	141
Unamortized past services for changes in methodology	(26)	(29)
Total items to be amortized	(343)	(589)
Net projected liability	$ 801	$ 727

Net period costs are as follows:

	2009	2008
Cost of services for the year	$ 329	$ 301
Amortization of transition asset	(6)	(6)
Amortization of past services and changes to the plan	(12)	(25)
Actuarial (gain) loss	(87)	132
Cost of financing for the year	408	378
Less – yield on fund assets	(321)	(365)
Net cost of the period	$ 311	$ 415

The nominal rates used in the actuarial calculations are:

	2009	2008
Discount of projected benefit obligation at present value	8.16%	8.16%
Wage increases	5.05%	5.05%
Yield on plan assets	8.67%	8.67%

The unamortized amounts of retirement obligations for the transition asset are applied to results over a period of five years beginning in 2008, and for past services and actuarial gains and losses are applied to results over the remaining labor life of employees expected to receive plan benefits.

Changes in present value of the defined benefit obligation:

	2009	2008
Present value of the defined benefit obligation as of January 1	$ 5,069	$ 4,810
Service cost	329	301
Interest cost	408	378
Actuarial gain on the obligation	(111)	(248)
Benefits paid	(191)	(172)
Present value of the defined benefit obligation as of December 31	$ 5,504	$ 5,069

Changes in fair value of plan assets:

	2009	2008
Plan assets at fair value as of January 1	$ 3,753	$ 4,256
Expected yield	321	365
Actuarial gain (loss)	240	(723)
Company contributions	200	–
Benefits paid	(154)	(145)
Plan assets at fair value as of December 31	$ 4,360	$ 3,753

Categories of plan assets:

	Expected yield	Actual yield
Equity instruments	10.0%	36.9%
Debt instruments	7.7%	8.3%

Amounts of the current and previous four years:

	2009	2008	2007	2006	2005
Defined benefit obligation	5,504	5,069	4,810	4,495	4,017
Less- Fair value of plan assets	4,360	3,753	4,256	4,192	3,739
Funded status	1,144	1,316	554	303	278
Actuarial (gain) loss for estimation of defined benefit obligation	(111)	(248)	(27)	120	(143)
Actuarial gain (loss) for estimation of fund	240	(723)	(72)	147	36

b. USA - The Company has established a defined benefit pension plan that covers eligible employees. Effective January 1, 2009, the benefits of the plan were frozen. The Company's funding policy is to make discretionary contributions. During 2009 and 2008, the Company made contributions to such plan of $471 and $115, respectively.

The following table sets forth the amounts recognized for the pension plan and the status of the fund in the consolidated balance sheets, as well as the liability for workers' compensation, as of December 31, 2009 and 2008:

	2009	2008
Vested benefit obligation	$ 1,993	$ 1,919
Defined benefit obligation	$ 7,528	$ 2,248
Less - Plan assets	4,183	1,154
Unfunded status	3,345	1,094
Items to be amortized:		
Actuarial gain	(770)	(1,423)
Past service costs and plan modifications	9	118
Total items to be amortized	(761)	(1,305)
Net projected liability (asset)	$ 2,584	$ (211)

Net pension cost includes the following components:

	2009	2008
Cost of services for the year	$ 139	$ 73
Financing cost of the year	403	120
Return on plan assets	(259)	(120)
Amortization of past services and plan modifications	45	30
Effect on anticipated severance obligations	(84)	–
Net cost of the period	$ 244	$ 103

The nominal interest rates used in the actuarial calculations are:

	2009	2008
Weighted average discount rates	5.75%	6.00%
Rates of increase in compensation levels	3.75%	3.75%
Expected long-term rate of return on plan assets	7.50%	7.50%

Changes in present value of the defined benefit obligation:

	2009 Nominal	2008 Real
Present value of the defined benefit obligation as of January 1	$ 2,248	$ 1,631
Service cost	139	73
Interest cost	403	120
Actuarial (gain) loss on the obligation	(46)	570
Past services for plan modifications	(3)	–
Business acquisition	5,184	–
Benefits paid	(397)	(146)
Present value of the defined benefit obligation as of December 31	$ 7,528	$ 2,248

Changes in fair value of plan assets:

	2009	2008
Plan assets at fair value as of January 1	$ 1,154	$ 1,254
Expected yield	259	120
Actuarial gain (loss)	490	(189)
Company contributions	471	115
Business acquisition	2,206	–
Benefits paid	(397)	(146)
Plan assets at fair value as of December 31	$ 4,183	$ 1,154

Categories of plan assets:

	Expected yield	Actual yield
Equity instruments	13.0%	29.2%
Debt instruments	3.5%	6.0%

Amounts of the current and previous four years:

	2009	2008	2007	2006	2005
Defined benefit obligations	7,528	2,248	1,631	1,640	1,654
Less- Fair value of plan assets	4,183	1,154	1,254	1,191	928
Funded status	3,345	1,094	377	449	726
Actuarial (gain) loss for estimation of defined benefit obligation	(46)	570	–	(64)	217
Actuarial gain (loss) for estimation of fund	490	(189)	10	(33)	39

Post retirement welfare benefit plans USA

The Company maintains post retirement welfare benefit plan that covers certain eligible employees´ post retirement medical expenses. As of December 31, 2009 and 2008, this liabilities were $1,293 and $466, respectively, of which the following amounts are classified in the long term:

	2009	2008
Welfare benefit plans	$ 1,039	$ 466

OLA - The Company has liabilities for termination benefits in accordance with the local legislation of each country. The related liability and annual cost of the benefits is calculated by an independent actuary using the projected unit credit method. As of December 31, 2009 and 2008, the registered liabilities are $220 and $0, respectively. Other disclosures required by NIF were considered not significant in this geographic segment.

14. STOCKHOLDERS' EQUITY

a. At December 31, 2009, stockholders' equity consists of the following:

	Number of shares	Par value	Restatement / translation effect	Total
Fixed capital				
Series "A"	1,175,800,000	$ 1,902	$ 6,104	$ 8,006
Series "B"	–	–	–	–
Total	1,175,800,000	$ 1,902	$ 6,104	$ 8,006
Reserve for repurchase of shares		600	159	759
Retained earnings		22,823	7,875	30,698
Other items of accumulated other comprehensive income		–	675	675
Financial instruments		(34)	–	(34)
Noncontrolling interest in consolidated subsidiaries		719	134	853
Total		$ 26,010	$ 14,947	$ 40,957

Capital stock is fully subscribed and paid and represents fixed capital. Variable capital cannot exceed 10 times the amount of minimum fixed capital without right of withdrawal and must be

represented by Series "B", ordinary, nominative, no-par shares and/or limited voting, nominative, no-par shares of the Series to be named when they are issued. Limited voting shares cannot represent more than 25% of non-voting capital stock.

b. Dividends paid in 2009 and 2008 were:

Approved at the stockholders' meeting of:	Mexican pesos per share	Total par value	Value at December 31, 2009
April 15, 2009	$ 0.46	$ 541	$ 541
April 9, 2008	$ 0.46	$ 541	$ 541

c. Retained earnings include the statutory legal reserve. Mexican General Corporate Law requires that at least 5% of net income of the year be transferred to the legal reserve until the reserve equals 20% of capital stock at par value (historical pesos). The legal reserve may be capitalized but may not be distributed unless the entity is dissolved. The legal reserve must be replenished if it is reduced for any reason. At December 31, 2009 and 2008, the legal reserve, in historical pesos, was $500.

d. Stockholders' equity, except restated paid-in capital and tax retained earnings, will be subject to income taxes payable by the Company at the rate in effect upon distribution. Any tax paid on such distribution may be credited against annual and estimated income taxes of the year in which the tax on dividends is paid and the following two fiscal years.

e. The balances in the stockholders' equity tax accounts at December 31 are:

	2009	2008
Paid-in capital	$ 8,132	$ 7,843
Net after-tax income	32,830	27,522
Total	$ 40,962	$ 35,365

15. FOREIGN CURRENCY BALANCES AND TRANSACTIONS

a. At December 31, 2009 and 2008, the foreign currency monetary position in millions of U.S. dollars, for the Mexican entities only, is as follows:

	2009	2008
Current assets	67	437
Liabilities –		
Short term	(342)	(47)
Long term	(745)	(600)
Total liabilities	(1,087)	(647)
Liability position, net	(1,020)	(210)
Mexican peso equivalent	$ (13,320)	$ (2,843)

b. The Company has significant operations in the USA and OLA as indicated in Note 21.

c. The transactions in millions of U.S. dollars, for the Mexican entities only, after elimination of the transactions between consolidated subsidiaries, were as follows:

	2009	2008
Export sales	12	13
Import purchases of raw materials	46	91
Purchases of fixed assets from foreign countries	27	30

d. The exchange rates in effect at the dates of the balance sheets and of issuance of these financial statements, respectively, were as follows:

	December 31,		March 12,
	2009	2008	2010
Pesos per one U.S. dollar	13.0587	13.5383	12.6192

16. TRANSACTIONS AND BALANCES WITH RELATED PARTIES

a. Transactions with related parties, carried out in the ordinary course of business, were as follows:

	2009	2008
Interests income	$ 76	$ –
Expenses on purchases of:		
Raw materials	$ 4,403	$ 5,158
Finished products	$ 575	$ 769
Supplies, uniforms and other	$ 312	$ 473

b. The net balances due to related parties are:

	2009	2008
Beta San Miguel, S. A. de C. V.	$ 89	$ 74
Efform, S. A. de C. V.	18	23
Frexport, S. A. de C. V.	14	41
Grupo Altex, S. A. de C. V.	29	229
Industrial Molinera Montserrat, S. A. de C. V.	14	32
Industrial Molinera San Vicente de Paul, S. A. de C. V.	–	19
Makymat, S. A. de C. V.	5	8
Ovoplus del Centro, S. A. de C. V.	13	30
Pan-Glo de México, S. de R. L. de C. V.	1	4
Paniplus, S. A. de C. V.	21	27
Proarce, S. A. de C. V.	22	36
Fábrica de Galletas La Moderna, S. A. de C. V.	4	11
Mundo Dulce, S.A. de C.V.	5	39
Uniformes y Equipo Industrial, S. A. de C. V.	3	11
	$ 238	$ 584

c. Employee benefits granted to Company key management were as follows:

	2009	2008
Short and long-term direct benefits	$ 290	$ 264
Share-based payments	71	27
Severance benefits	368	356

17. TAX ENVIRONMENT

Income taxes in Mexico

The Company is subject to ISR and IETU.

ISR - The rate for 2009 and 2008 was 28% and will be 30% for 2010 to 2012, 29% for 2013, and 28% for 2014 and thereafter. The Company pays ISR, together with subsidiaries on a consolidated basis.

IETU - Revenues, as well as deductions and certain tax credits, are determined based on cash flows of each fiscal year. The IETU rate is 17% and 16.5% in 2009 and 2008, respectively, and 17.5% as of 2010. The Asset Tax Law was repealed upon enactment of the IETU Law; however, under certain circumstances, IMPAC paid in the ten years prior to the year in which ISR is paid, may be recovered, according to the terms of the law. In addition, as opposed to ISR, the parent and its subsidiaries will incur IETU on an individual basis.

Income tax incurred will be the higher of ISR and IETU.

Based on its financial projections, the Company determined that some of its Mexican subsidiaries will pay ISR in certain fiscal years, while in others, they will pay IETU. Accordingly, the Company calculated both deferred ISR and deferred IETU and recognized the larger of the two liabilities in each subsidiary.

In its other subsidiaries, based on its financial projections the Company determined that they will basically pay only ISR. Therefore, the enactment of IETU did not have any effects on the financial information for these subsidiaries, since they continue to recognize deferred ISR.

Grupo Bimbo, S. A. B. de C. V. is subject until 2009 to ISR on a consolidated basis with its Mexican subsidiaries, in the proportion held of the voting stock of its subsidiaries at year-end.

Due to changes in the tax law with respect to tax consolidation, the Company elected to deconsolidate for tax purposes beginning in 2010, recognizing the effects on the financial information of 2009 of such deconsolidation, applying some of the effects against retained earnings in accordance with the rules of INIF 18, *Recognition of the Effects of the 2010 Tax Reform on Income Taxes*. The effect of tax deconsolidation in the results of 2009 is minimal considering the effects on deferred taxes that result from the tax deconsolidation.

Income taxes in other countries

The foreign subsidiaries calculate income taxes on their individual results, in accordance with the regulations of each country. The subsidiaries in the USA have authorization to file a consolidated income tax return.

The tax rates applicable in other countries where the Company operates and the period in which tax losses may be applied, are as follows:

	Statutory Income Tax Rate (%) 2009	2008	Period of expiration
Austria	25.0	25.0	(a)
Argentina	35.0	35.0	(b) 5
Brazil	34.0	34.0	(c)
Colombia	33.0	33.0	(d)
Costa Rica	30.0	30.0	3
Chile	17.0	17.0	(e)
China	25.0	25.0	5
El Salvador	25.0	25.0	(f)
Spain	30.0	30.0	15
USA	(g) 35.0	(g) 35.0	20
Guatemala	(h) 31.0	(h) 31.0	(f)
Honduras	(i) 25.0	(i) 25.0	(j)
Hungary	16.0	16.0	(e)
Luxembourg	21.0	21.0	(e)
Netherlands	25.5	25.5	9
Nicaragua	30.0	30.0	3
Paraguay	10.0	10.0	(j)
Peru	30.0	30.0	(k)
Czech Republic	21.0	21.0	(l)
Uruguay	25.0	25.0	(m)
Venezuela	34.0	34.0	(n)

(a) Losses generated after 1990 may be applied indefinitely but can only be offset each year up to an amount equal to 75% of the net taxable profit for the year.

(b) Tax losses from sale of share or other equity investments, can only be offset against income of the same nature. Same for the loss of derivatives. Foreign source tax losses can only be amortized with income from foreign sources.

(c) Tax losses may be applied indefinitely, but may only be offset each year up to an amount equivalent to 30% of the net taxable profit for the year.

(d) Tax losses generated in 2003, 2004, 2005 and 2006 may be amortized within the following 8 years, but can only be up to 25% of the income tax of each year. Since 2007, tax losses may be unlimited amortized with no limit on the value and unlimited in time.

(e) No expiration date.

(f) Operational losses cannot be amortized and capital losses can only be amortized against capital gains in the following 5 years that the loss was generated.

(g) To this percentage should be added a percentage of state tax, which varies in each state of the U.S. The weighted average statutory rate for 2009 and 2008 was 38.3% and 38.2%, respectively.

(h) The general scheme is 5% but the tax base is calculated as follows: Total gross income less non taxable income. The optional scheme has a rate of 31% but the tax basis is different: Net income less nontaxable income plus nondeductible expenses less other deductions.

(i) It is a flat tax, and in case of a taxable income greater than 1 million Lempiras an additional 5% must be paid.

(j) Cannot be amortized.

(k) There are two alternatives allowed for tax losses amortization: 1) 4 years or 2) unlimited amortization up to 50% of the value of each year. Once made, an election cannot be changed, until the accumulated losses of previous years are applied.

(l) Tax losses generated since 2004 can be amortized in the following 5 years. Tax losses prior to 2004 in the following 7 years.

(m) Tax losses generated after 2007 can be amortized in the following 5 years. Prior to 2007 only until the following 3 years.

(n) Based on their nature can change the amortization period: 1) Operating losses, following 3 years, 2) Losses from the adjustment for inflation tax, 1 year; 3) Overseas, which can only be amortized to earnings from abroad, following 3 years and 4) Losses from jurisdictions with preferential tax regulations only applied to profits in such jurisdictions, following 3 years.

Operations in Argentina, Colombia, Guatemala and Nicaragua are subject to minimum payments of income tax or tax based on assets.

Operations in Brazil and Venezuela are subject to profit sharing payments according to certain rules based on accounting income. During 2009 and 2008, there were no profit sharing payments in that country.

Detail of provisions, effective rate and deferred effects

a. Consolidated taxes on income are as follows:

	2009	2008
ISR:		
Current	$ 3,964	$ 1,887
Deferred	(1,203)	(246)
	$ 2,761	$ 1,641
IETU:		
Current	$ 77	$ 212
Deferred	(11)	41
	66	$ 253
	$ 2,827	$ 1,894

b. The reconciliation of the statutory and effective ISR rates expressed as a percentage of income before taxes on income for the years ended December 31, 2009 and 2008 is:

	% 2009	% 2008
Statutory rate in Mexico	28.0	28.0
Inflationary effects in the monetary balance sheet accounts	5.3	2.0
Nondeductible expenses, nontaxable revenues and other	4.9	(1.5)
Difference in tax rates and currency of subsidiaries in different tax jurisdictions	2.2	(0.10)
Inflationary tax effect of fixed assets	(1.9)	(2.5)
IETU	0.7	4.0
Reversal of allowance of deferred taxes	(7.4)	–
Effects of increase in Mexican income tax rate in deferred taxes	(0.1)	–
Effective rate	31.7	29.9

The main items originating a deferred ISR asset are:

	2009	2008
Advances from customers	$ (8)	$ (12)
Allowance for doubtful accounts	(89)	(37)
Inventories	52	26
Property, plant and equipment	2,894	2,773
Intangible assets	3,803	(131)
Other reserves	(2,839)	(884)
Current and deferred PTU	(460)	(244)
Tax loss carryforwards	(4,602)	(2,237)
Valuation allowance of tax loss carryforwards	788	580
IETU	190	201
Effect of translation	(59)	(221)
Other items	(39)	26
Total asset, net	$ (369)	$ (160)

The net deferred income tax asset has not been offset in the accompanying consolidated balance sheet as they result from different taxable entities and tax authorities. Gross amounts are as follows:

	2009	2008
Deferred income tax asset	$ (635)	$ (1,417)
Deferred income tax liability	266	1,257
Total asset, net	$ (369)	$ (160)

c. Since the Company's tax losses are mainly derived from its transactions with USA and some countries of OLA, certain tax losses will not be recoverable before their expiration date. Consequently, the Company has recognized a valuation allowance for a portion of such losses.

d. Tax loss carryforwards for which the deferred ISR asset have been recorded may be recovered subject to certain conditions. Tax losses generated in countries and expiration dates are:

Years		Amount
2011	$	5,789
2012		27
2013		88
2014		47
2015		5
2016 and thereafter		7,724
		13,680
Tax losses included in the valuation allowance		(2,490)
Total	$	11,190

18. OTHER EXPENSES, NET

a. They are comprised as follows:

		2009		2008
PTU	$	563	$	467
Prior year labor cost		150		–
Tax incentives		(46)		–
Loss on sale of fixed assets		183		101
Other		326		(93)
	$	1,176	$	475

b. PTU is comprised as follows:

		2009		2008
Current	$	624	$	563
Deferred		(61)		(96)
	$	563	$	467

19. COMMITMENTS

Guarantees and/or guarantors

a. At December 31, 2009, Grupo Bimbo, S. A. B. de C. V. and certain subsidiary companies have guaranteed bonded issued letters of credit to guarantee commercial obligations and contingent risks related to the labor obligations of certain subsidiaries. The value of such letters of credit totals US$99.5 million, of which a liability of US$99 million has already been recorded for employment benefits in the USA.

b. The Company has guaranteed certain contingent obligations of associated companies for the amount of US$3 million at December 31, 2009. Similarly, the Company has issued guarantees for third-party obligations derived from the sale of assets in prior years, for the amount of US$14 million.

Lease commitments

a. The Company has long-term commitments under operating leases, principally for the facilities used to produce, distribute and sell its products. These commitments vary from 3 to 14 years, with a renewal option of between one and five years. Certain leases require the Company to pay all related expenses, such as taxes, maintenance and insurance for the term of the contracts. The total amount of lease commitments is as follows:

Year		Amount
2010	$	1,209
2011		873
2012		659
2013		494
2014		376
2015 and thereafter		1,892
Total	$	5,503

20. CONTINGENCIES

The vast majority of the Company´s contingencies are related to non significant labor, legal and civil matters. The Company follows their practice of expensing these amounts as they materialized.

There are a few large contingencies for which the Company has evaluated as remote, probable or possible, and the amounts that have been defined as probable have been accrued in the caption of long term liabilities.

21. INFORMATION BY GEOGRAPHICAL AREA

The following is the principal data by geographical area in which the Company operates for the years ended December 31, 2009 and 2008:

	2009				
	Mexico	USA	OLA	Consolidation eliminations	Total
Net sales	$ 55,388	$ 49,850	$ 13,606	$ (2,491)	$ 116,353
Income after general expenses	$ 7,499	$ 4,261	$ 301	$ (7)	$ 12,054
Majority net income	$ 2,184	$ 3,889	$ (59)	$ (58)	$ 5,956
Depreciation and amortization	$ 1,667	$ 1,466	$ 650	$ –	$ 3,783
Income after general expenses, plus depreciation and amortization (EBITDA)	$ 9,166	$ 5,727	$ 951	$ (7)	$ 15,837
Total assets	$ 33,782	$ 53,336	$ 13,562	$ (3,967)	$ 96,713
Total liabilities	$ 47,588	$ 10,045	$ 3,257	$ (5,134)	$ 55,756

	2008				
	Mexico	USA	OLA	Consolidation eliminations	Total
Net sales	$ 54,845	$ 18,049	$ 11,346	$ (1,923)	$ 82,317
Income after general expenses	$ 6,854	$ 124	$ 431	$ (81)	$ 7,328
Majority net income	$ 4,358	$ 141	$ 57	$ (236)	$ 4,320
Depreciation and amortization	$ 1,650	$ 415	$ 436	$ –	$ 2,501
Income after general expenses, plus depreciation and amortization (EBITDA)	$ 8,504	$ 539	$ 867	$ (81)	$ 9,829
Total assets	$ 36,529	$ 14,221	$ 11,360	$ (3,604)	$ 58,506
Total liabilities	$ 23,263	$ 1,988	$ 3,052	$ (4,771)	$ 23,532

22. NEW ACCOUNTING PRINCIPLES

As part of its efforts to converge Mexican standards with international standards, in 2009 the Mexican Board for Research and Development of Financial Information Standards ("CINIF") issued the following Mexican Financial Reporting Standards (NIFs), Interpretations to Financial Information Standards (INIFs) and improvements to NIFs applicable to all but not-for profit entities, which become effective as follows:

a. For fiscal years that begin on January 1, 2010:

Some of the most important changes established by these standards are:

NIF C-1, Cash: changes the "cash" concept to be consistent with the definition in NIF B-2, Statement of Cash Flows, and introduces definitions for restricted cash, cash equivalents and readily available investments.

Improvements to NIFs for 2010 – The main improvements generating accounting changes that must be recognized retroactively are:

NIF B-1, Accounting Changes and Correction of Errors: Requires further disclosures in case the Company applies a particular standard for the first time.

NIF B-2, Statement of Cash Flows: Requires recognition of the effects of fluctuations in exchange rates used for translating cash in foreign currencies, and changes in fair value of cash in the form of precious metal coins, and other cash items, at fair value, in a specific line item.

NIF B-7, Business Acquisitions: Requires that, when intangible assets or provisions are recognized because the acquired business has a contract whose terms and conditions are favorable or unfavorable with respect to market, it only applies when the acquired business is the lessee in an operating lease. This accounting change should be recognized retroactively but not further back than January 1, 2009.

NIF C-7, Investments in Associated Companies and Other Permanent Investments: Modifies how the effects derived from increases in equity percentages in an associated company are determined. It also establishes that the effects due to an increase or decrease in equity percentages in associated companies should be recognized under equity in income (loss) of associated companies, rather than in the non-ordinary line item within the statement of income.

NIF C-13, Related Parties: Requires that, if the direct or ultimate controlling entity of the reporting entity does not issue financial statements available for public use, the reporting entity should disclose the name of the closest, direct / indirect, controlling entity that issues financial statements available for public use.

b. For fiscal years that begin on January 1, 2011:

Some of the most important changes established by these standards are:

NIF B-5, Segment Financial Information: Uses a managerial approach to disclose financial information by segments, as opposed to Bulletin B-5, which, although based on a managerial approach, required that the financial information be classified by economic segments, geographical areas, or customer groups. NIF B-5 does not require different risks among business areas to separate them. It allows areas in the preoperating stage to be classified as a segment, and requires separate disclosure of interest income, interest expense and liabilities, as well as disclosure of the entity's information as a whole with respect to products, services, geographical areas and major customers. Like the previous bulletin, this standard is mandatory only for public companies or companies in the process of becoming public.

NIF B-9, Interim Financial Information: As opposed to Bulletin B-9, this Standard requires presentation of the statement of changes in stockholders' equity and statement of cash flows, as part of the interim financial information. For comparison purposes, it requires that the information presented at the closing of an interim period contain the information of the equivalent interim period of the previous year, and in the case of the balance sheet, presentation of the prior yearend balance sheet.

At the date of issuance of these consolidated financial statements, the Company has not fully assessed the effects of adopting these new standards on its financial information.

23. INTERNATIONAL FINANCIAL REPORTING STANDARDS

In January 2009, the Mexican National Banking and Securities Commission published changes to the Issuers Official Bulletin to establish that beginning in 2012 all listed companies in Mexico will have to file their financial information under International Financial Reporting Standards, with early adoption allowed.

24. FINANCIAL STATEMENT ISSUANCE AUTHORIZATION

The issuance of the consolidated financial statements was authorized by Lic. Daniel Servitje Montull, Chief Executive Officer, and the Board of Directors of the Company on March 12, 2009. These consolidated financial statements are subject to the shareholder approval at the General Stockholders' meeting, who may modify the financial statements, based on provisions set forth by the General Corporate Law.

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BIMBO

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ESR NUEVE AÑOS
EMPRESA SOCIALMENTE RESPONSABLE

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